Moody's

Investor Presentation

4Q and Full Year 2016

February 23, 2017

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this presentation are made as of the date hereof, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, world-wide credit market disruptions or an economic slowdown, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting world-wide credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquires to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2015, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

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Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets

Risk Understanding

Methodologies
Training & Certification
Analyst Outreach

Risk Measurement

Ratings
Estimated Default Frequency Analytics (EDFs)
Market-Implied Ratings (MIRs)

Risk Management

Research (from both MIS & MA)
Advisory Services
Stress Testing
Software

Moody's is an essential component of the global capital markets, providing credit ratings, research, tools and analysis that contribute to open and integrated financial markets.

1 Financial Overview

Overview of Moody's Corporation

MOODY'S

» Leading global provider of credit rating opinions, insight and tools for financial risk measurement and management

» Revenue of $3.6 billion; adjusted operating income[1] of $1.6 billion

MOODY'S INVESTORS SERVICE

» 66% of total MCO revenue

» 83% of total MCO adjusted operating income[1]

- Independent provider of credit rating opinions and related information for over 100 years
- MIS provides ratings in more than 120 countries[2]
- Ratings relationships with ~11,000 corporate issuers, ~18,000 public finance issuers and has rated and currently monitors ~64,000 structured finance obligations[2]

MOODY'S ANALYTICS

» 34% of total MCO revenue

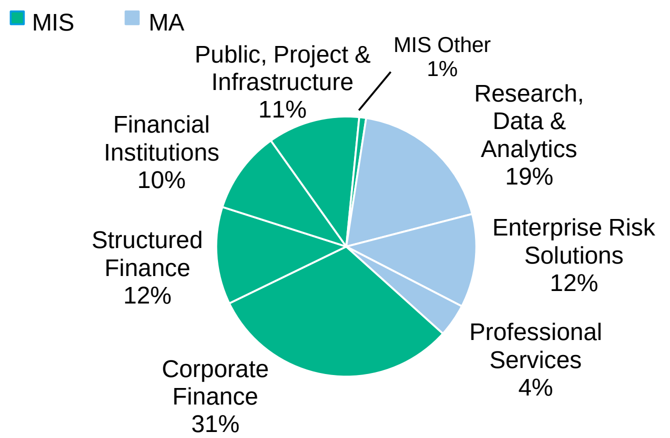
» 17% of total MCO adjusted operating income[1]

- Research, data and software for financial risk analysis and related professional services
- Customers in 145 countries[2]
- 4,600 institutional customers; business with 86 of top 100 global banks[2]

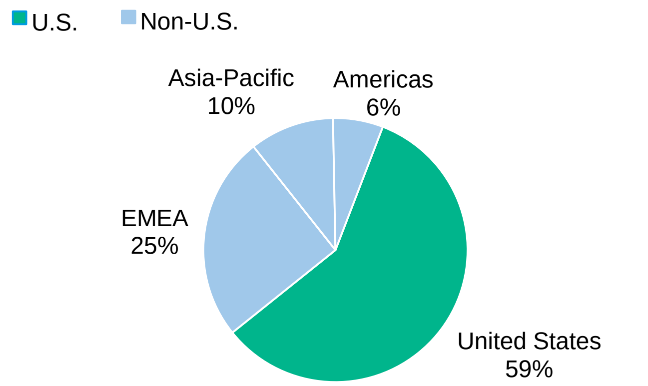
1 Adjusted operating income is an Non-GAAP measure. See appendix for reconciliation from adjusted financial measures to GAAP.
2 As of December 31, 2016.

Revenue is Diversified by Business, Geography and Type

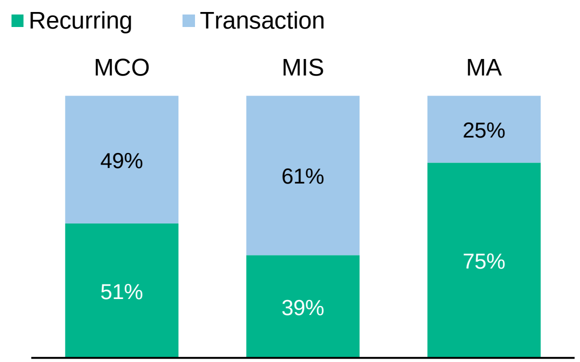
Revenue by Business



Revenue by Geography

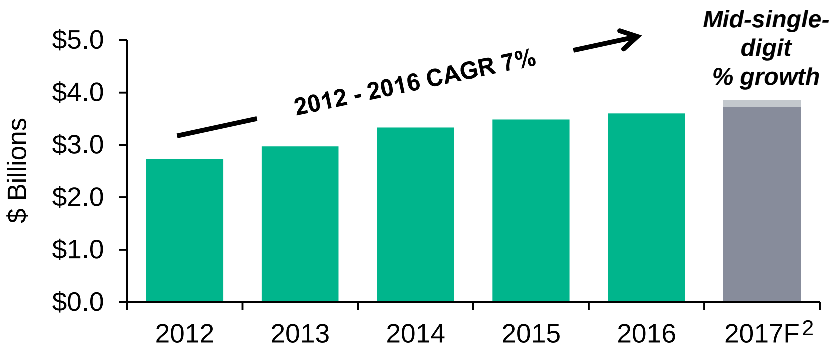


Revenue by Type

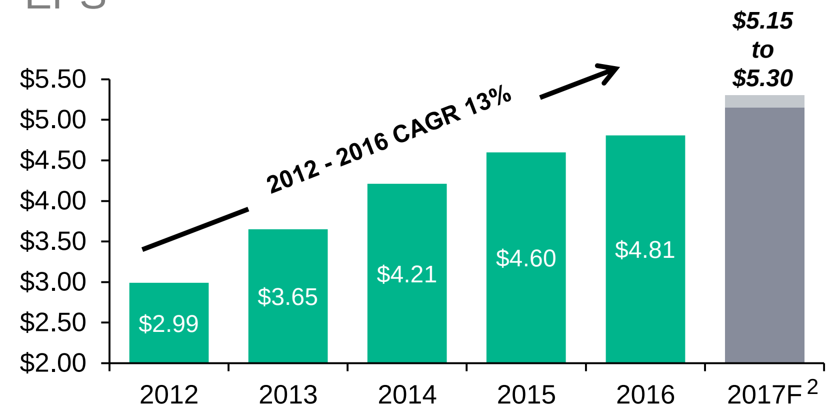


Financial Performance

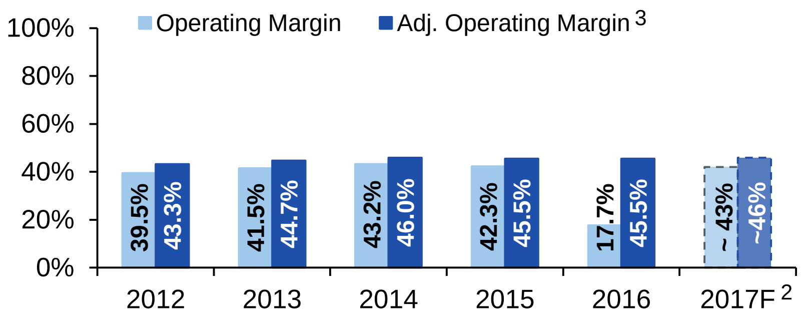
Revenue



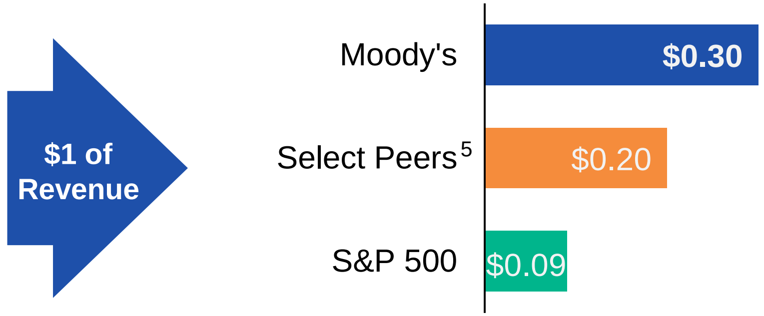
EPS[1]



Operating Margin



5-year Average Free Cash Flow Conversion[4]



1 2012 – 2016 figures represent adjusted EPS. 2017 forecast represents GAAP EPS. See appendix for reconciliation from adjusted EPS to GAAP EPS.
2 Guidance as of February 17, 2017.
3 Adjusted Operating Margin is a Non-GAAP measure. See appendix for reconciliation from adjusted financial measures to GAAP.
4 As of February 2017, over last five available fiscal years. Free Cash Flow is a Non-GAAP financial measure. Source: FactSet.
5 Includes: CLGX, DNB, EXPN, FDS, INFO, MORN, MSCI, SPGI, TRI and VRSK.

Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth

REVENUE — **Mid-to-High Single Digit % Growth**[1]

Issuance Volume & Mix + Coverage + Moody's Analytics + Pricing Initiatives

OPERATING MARGIN — **Mid-40s % Range**[1]

Cost Discipline + Process Re-Engineering + Technology Enablement

CAPITAL ALLOCATION — **Dividend Growth & Share Count Reduction**[2]

Reinvestment • Dividends • Acquisitions • Share Repurchases

EPS — **High Single Digit to Low Double Digit % Growth**[1, 2]

Note: Revenue and EPS long-term growth opportunities are on average over time.
1 Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.
2 Subject to market conditions and other ongoing capital allocation decisions.

Global Trends Present Opportunities and Risks

Unusual Monetary Conditions

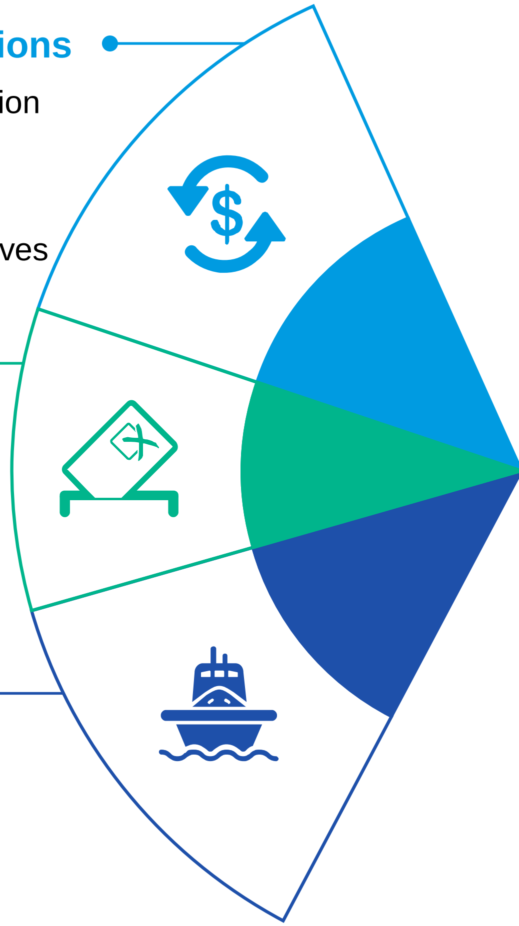
- Gradual U.S. rate normalization
- QE / NIRP in other advanced economies
- Low long-term yields, flat curves

Political Risk

- Impact of U.S. elections
- Busy European election calendar
- Brexit impact

Trade Protection

- Lack of global demand
- Protectionist policies hinder trade recovery



- Potential U.S. policy changes (tax, financial regulation, immigration, etc.)
- Rising but still historically low rates
- Easing default rates / commodity sector recovery
- Elevated debt maturities / potential pull-forward
- Re-acceleration of M&A market
- U.S. dollar strength
- Continued low European GDP growth

All Areas of the Company Undertaking Actions to Actively Manage Expense Growth

Moody's Investors Service
- Revised organizational structure
- Reengineering analytical support group
- Upgrading IT for improved system automation

Moody's Analytics
- Higher margin product focus
- Limited growth of low-margin services
- Salesforce efficiency

Moody's Shared Services
- Staffing shift to low-cost locations
- Improved process efficiency through re-engineering and technology enablement

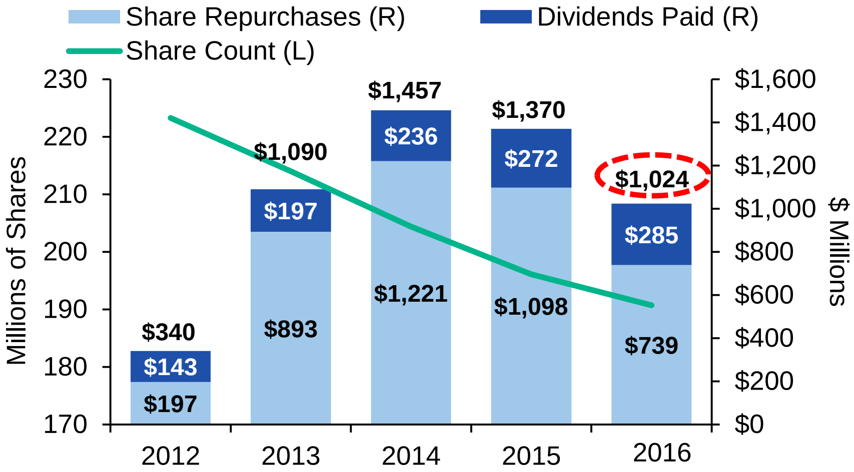
- Flattened rate of headcount growth
- Increased use of Moody's Analytics Knowledge Services (MAKS)
- Compensation management
- Performance culture
- Real estate densification

Expense and best practice initiatives to help drive MCO operating margin to the mid-40s % range over the next several years

Moody's has a Disciplined Approach to Capital Allocation

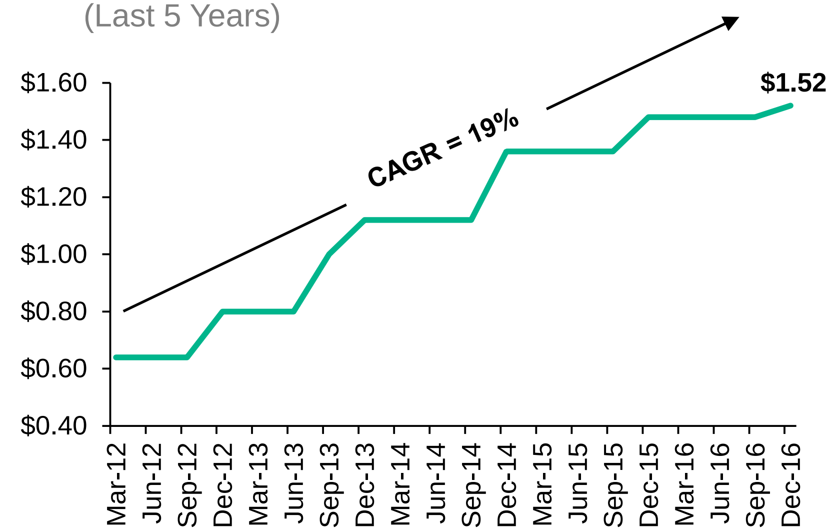
Investing in Growth Opportunities		Return of Capital	
Reinvestment	Acquisitions	Dividends	Share Repurchases
» Invest in existing businesses to support organic growth » FY 2017 capex guidance: ~$100 million[1]	» Aligned with strategy » Opportunistic; ideally able to use offshore cash	» Payout ratio potential is 25% - 30% of net income at current leverage[2] » FY 2016 payout ratio was ~30%[3]	» FY 2017 share repurchase guidance: ~$500 million[4] » Average annualized net share count reduction of ~4% over last 5 years » FY 2016 average repurchase price of $96.38

Share Repurchases and Dividends Paid



Annualized Dividend Per Share

(Last 5 Years)



1 Guidance as of February 17, 2017.
2 Assumes continued balance of return of capital between dividends and share repurchase subject to available cash, market conditions and other ongoing capital allocation decisions.
3 Dividend payout ratio is defined as dividend paid/adjusted net income.
4 Guidance as of February 17, 2017 (subject to available cash, market conditions and other ongoing capital allocation decisions).

Full Year 2017 Guidance as of February 17, 2017

» **Revenue:**	Increase in the mid-single-digit % range
» **Operating Expense:**	Decrease in the 25% - 30% range
» **Adjusted Operating Expense[1]:**	Increase in the low-single-digit % range
» **Operating Margin:**	Approximately 43%
» **Adjusted Operating Margin[1]:**	Approximately 46%
» **Effective Tax Rate:**	Approximately 31% - 32%
» **Earnings Per Share:**	$5.15 - $5.30
» **Share Repurchases:**	Approximately $500 million (subject to available cash, market conditions and other ongoing capital allocation decisions)
» **Capital Expenditures:**	Approximately $100 million
» **Depreciation & Amortization:**	Approximately $135 million
» **Operating Cash Flow[2]**	Approximately $600 million
» **Free Cash Flow[1,2]:**	Approximately $500 million

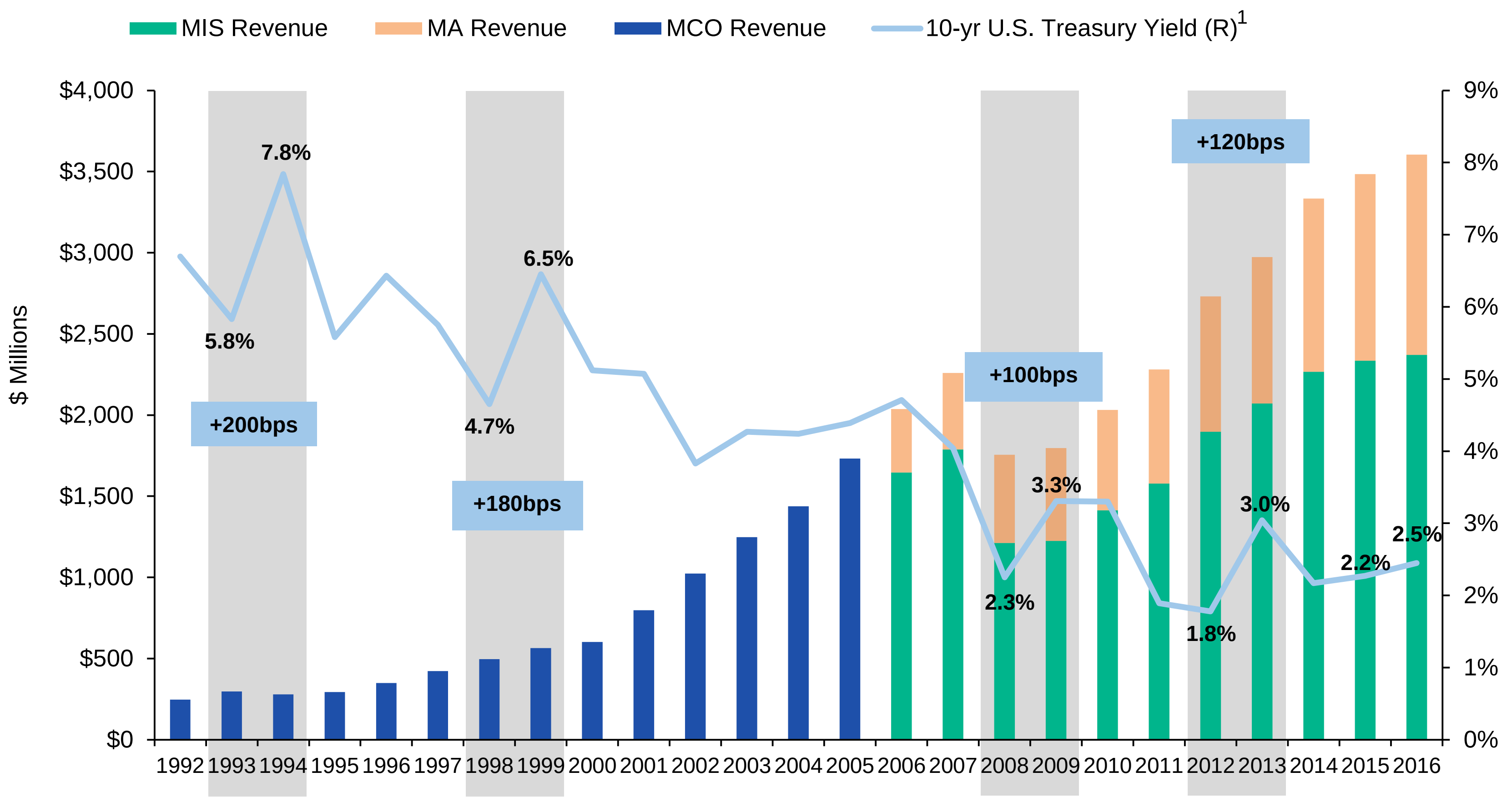
1 These metrics are adjusted measures. See Appendix for a reconciliation of these measures to their comparable GAAP metric measure.
2 Includes payment of a settlement charge related to the agreement with the U.S. Department of Justice and the attorneys general of 21 U.S. states and the District of Columbia.

2

Capital Markets Overview

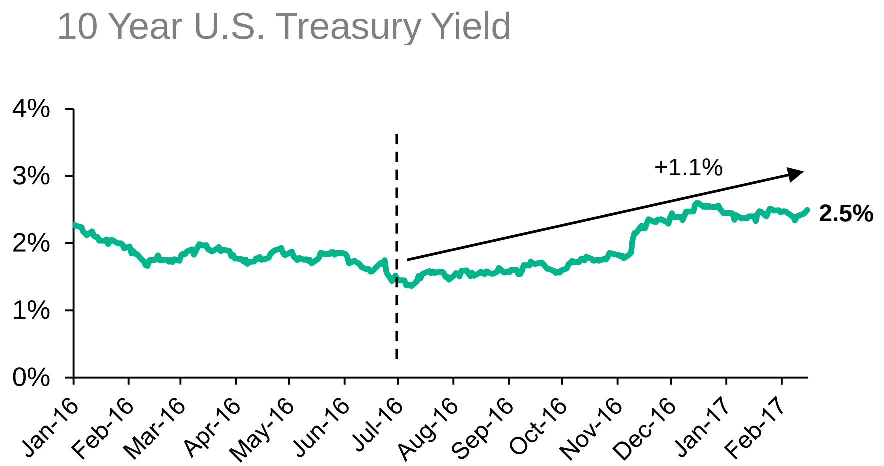
Historically, Rising Rates Have not had a Significant Impact on Moody's Revenue

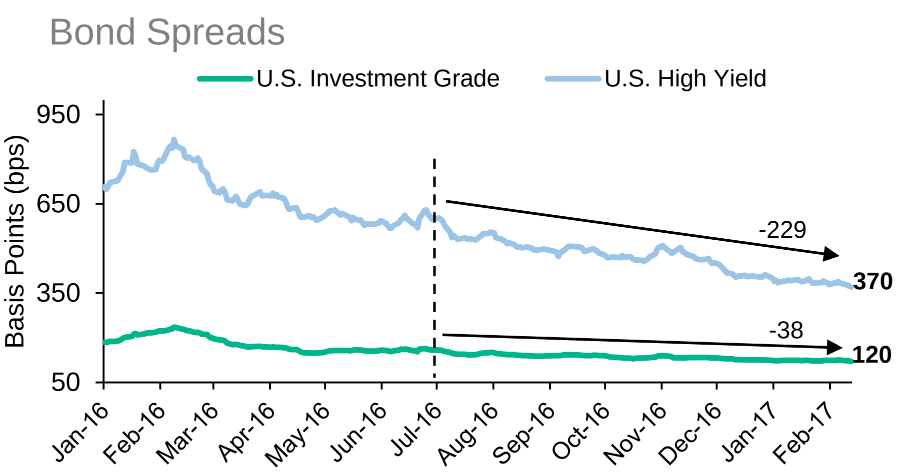
MCO Revenue and Interest Rates

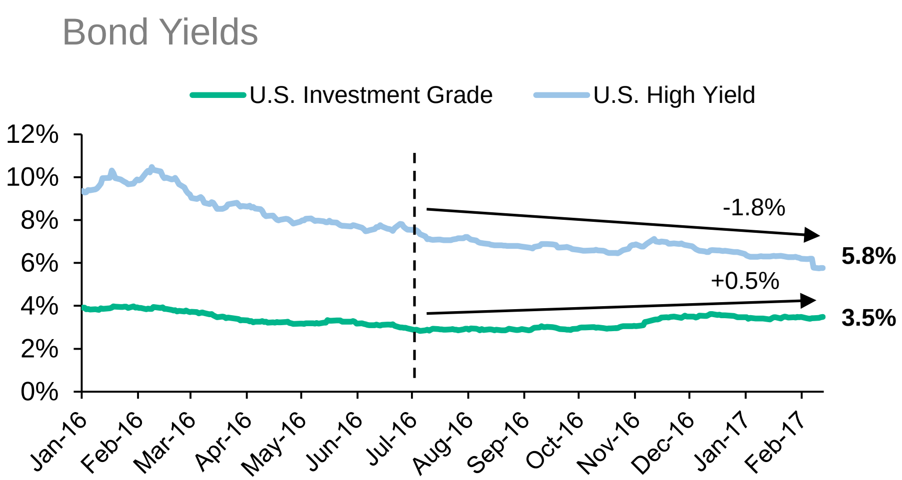


1 10-yr Treasury Yields are represented by the rate at the end-of-period. Source: www.treasury.gov.

Although U.S. Interest Rates Have Risen, Spreads Have Tightened



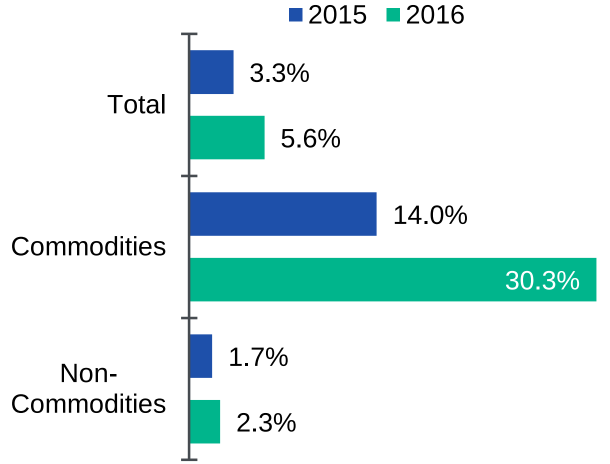




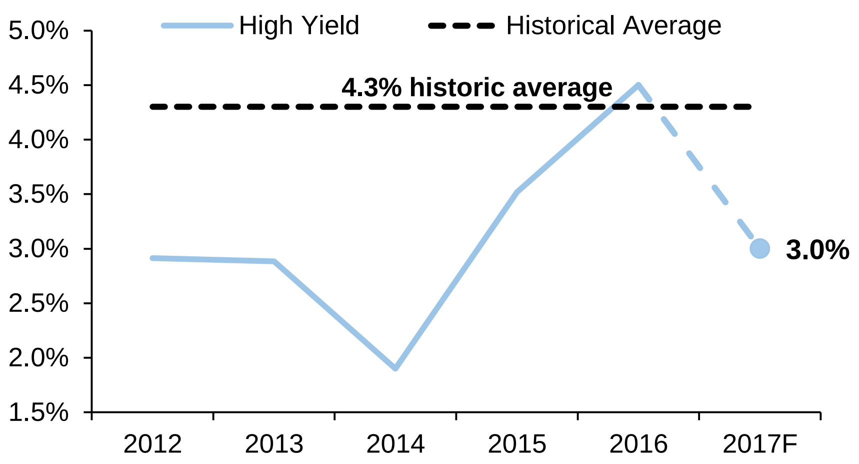
Source: Moody's Analytics, Barclays. Bond Spreads and Bond Yields are for non-financial corporates. Bond Yields represent yields to maturity. All data is through February 15, 2017.

Outside of Commodities, Default Rates are Contained

U.S. Speculative Grade Default Rates[1]



Default Rates for Global Corporate Rated Issuance[2]

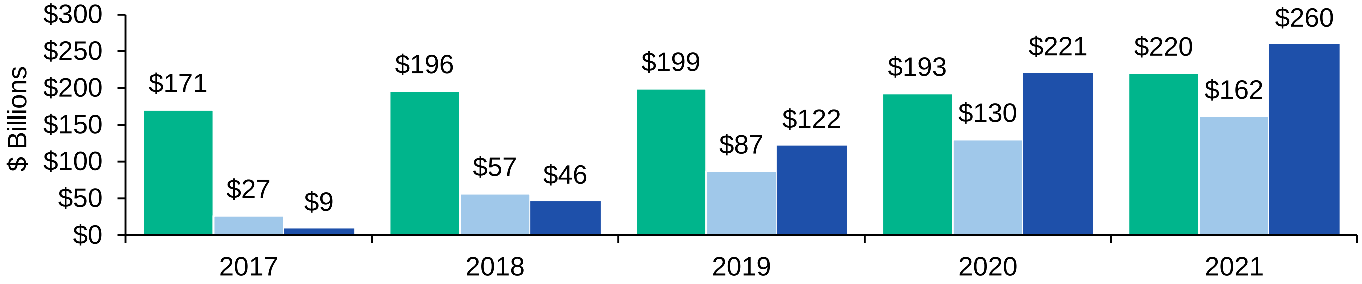


» Global speculative-grade default rate at 4.5% as of December 2016; expected to decline to 3.0% by December 2017, helped by fewer commodity defaults.

1 Commodities sector includes Oil & Gas and Metals & Mining.
2 Moody's rated corporate global speculative grade default historical average of 4.3% since 1983. 2017 forecast for trailing twelve months ended December 31, 2017.
Source: Moody's Investors Service.

North America and EMEA Non-Financial Corporates Have Over $3.3 Trillion of Refunding Needs[1]

Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



2017 – 2021 CAGR

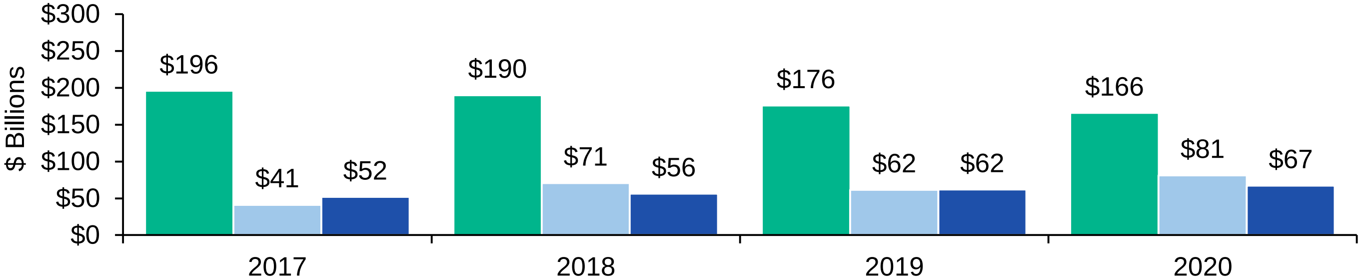
Investment Grade Bonds: 7%

Speculative Grade Bonds: 57%

Speculative Grade Bank Loans: 130%

Source: MIS, February 2017.
Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



2017 – 2020 CAGR

Investment Grade Bonds: (5%)

Speculative Grade Bonds: 25%

Speculative Grade Bank Loans: 9%

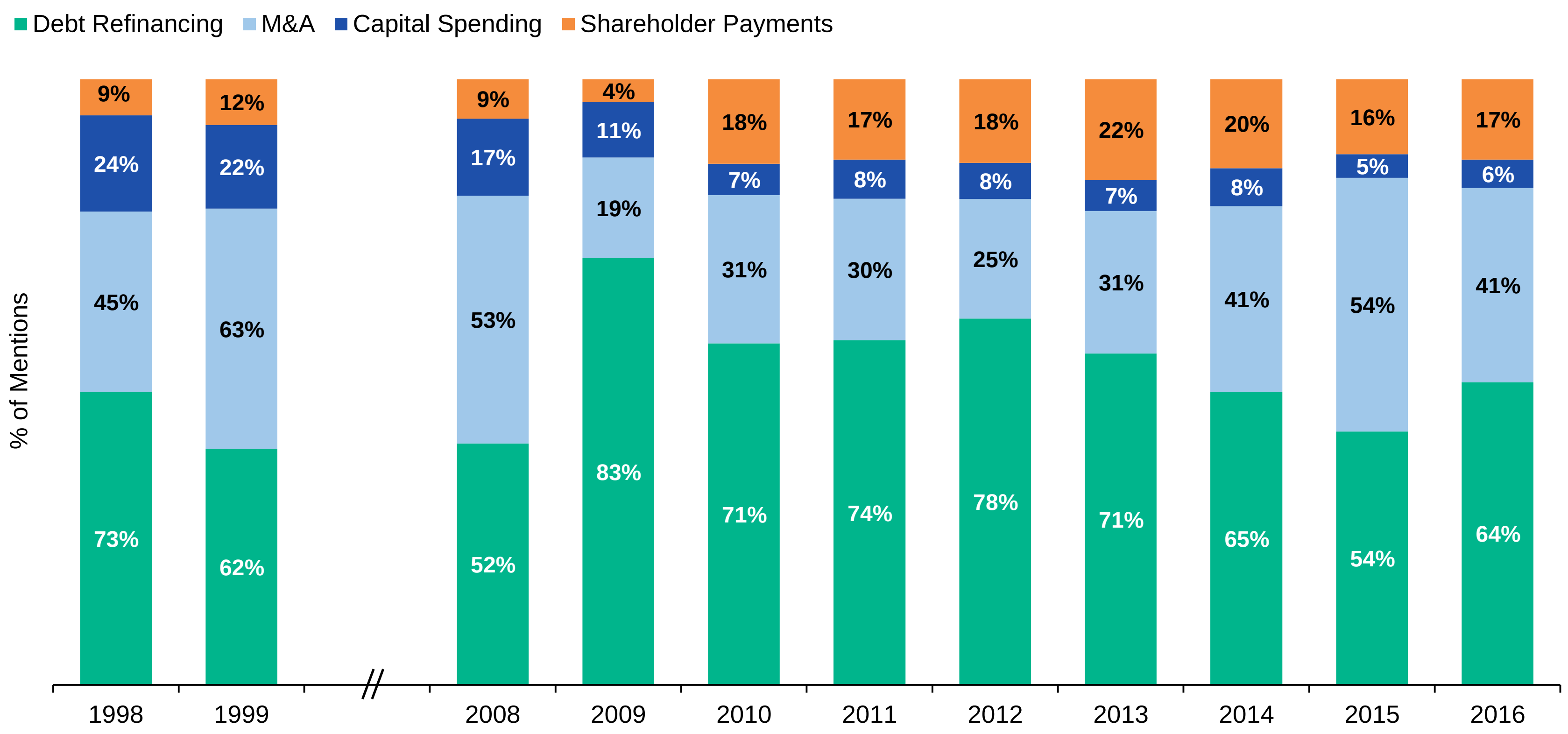
Source: MIS, July 2016.

Investment Grade Bonds | Speculative Grade Bonds | Speculative Grade Bank Loans

1 Amount reflects total maturities identified in the above sources.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

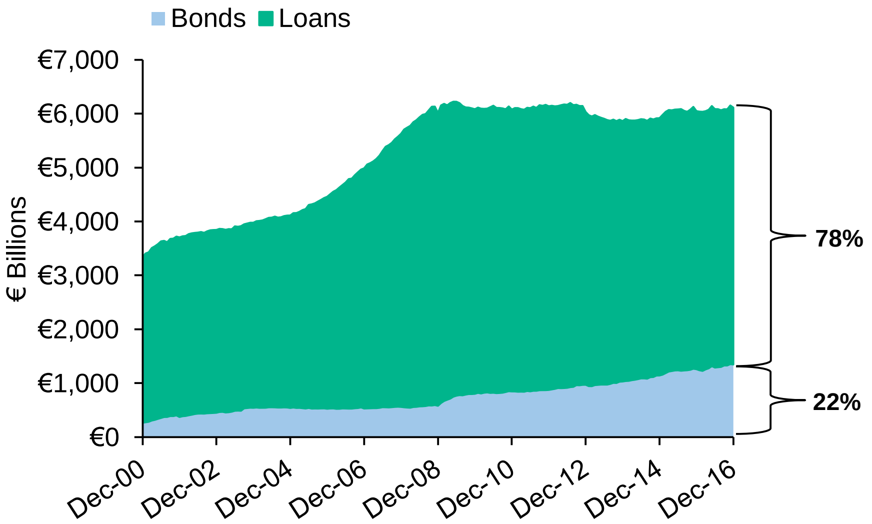
Uses of Funds from USD High Yield Bonds and Bank Loans[1]



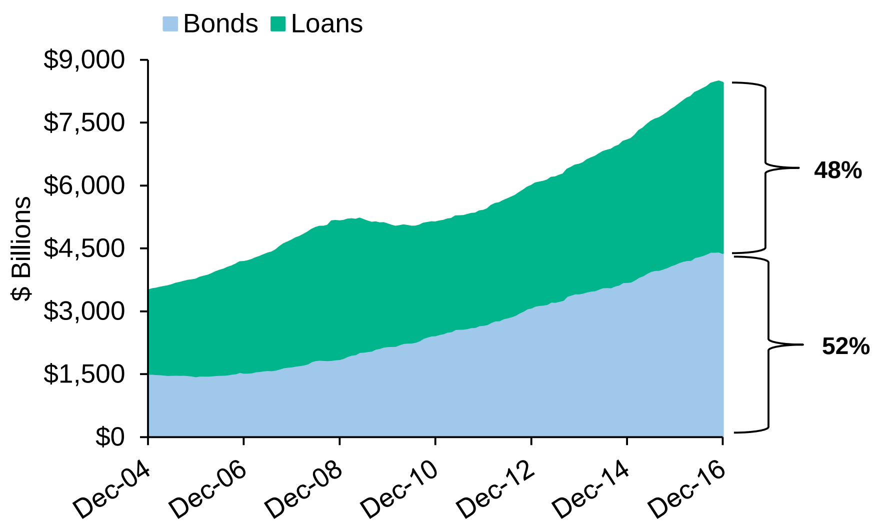
1 Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than $25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.
Source: Moody's Capital Markets Research Group (CMRG).

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



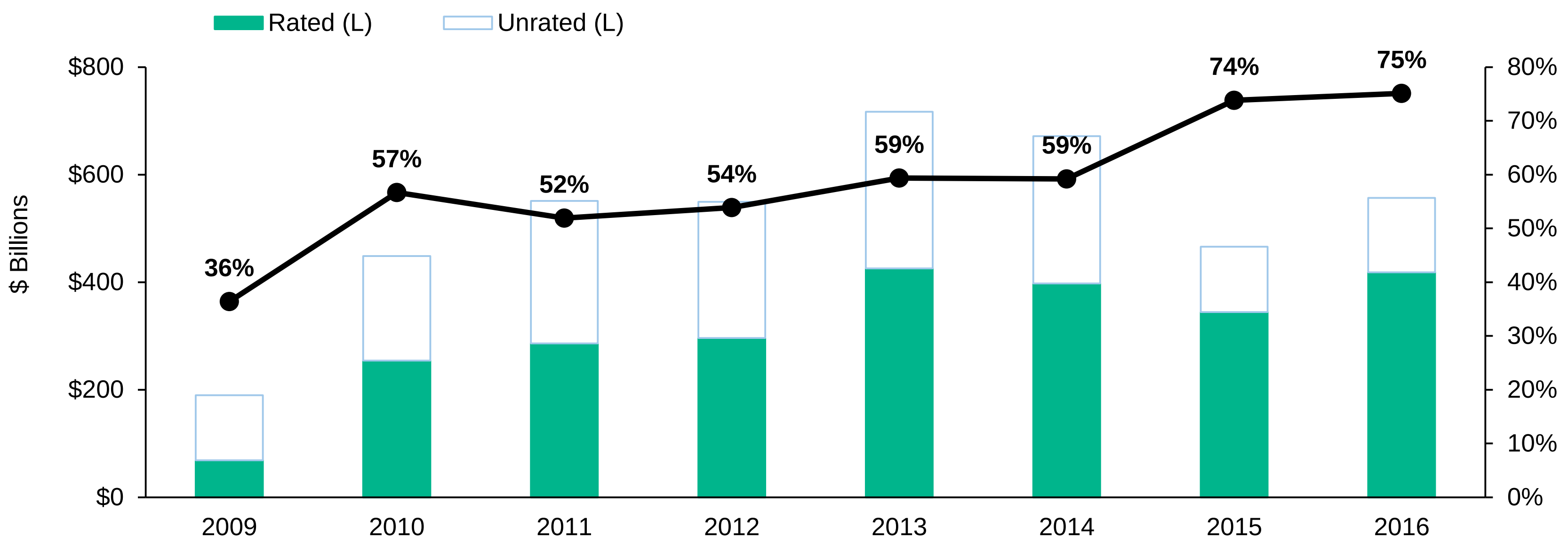
U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European and U.S. data is through December 2016.

Rated Bank Loan Issuance Continues to Grow

U.S. Corporate Speculative-Grade Bank Loans[1]

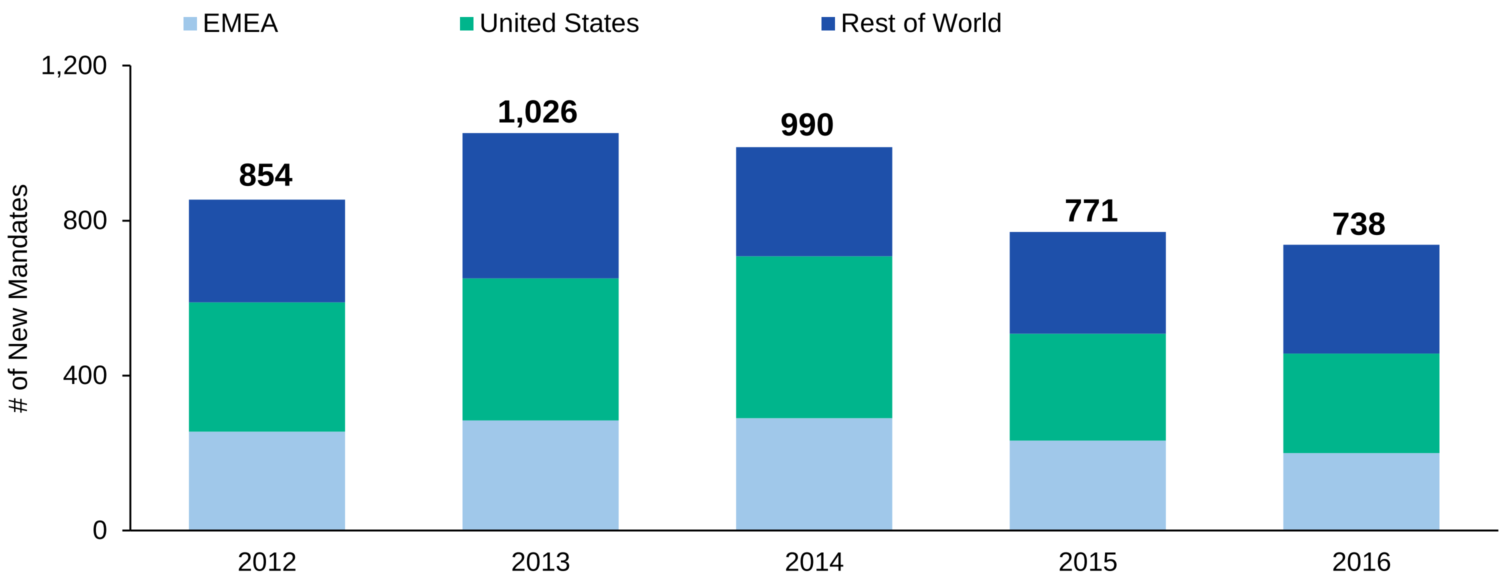


- **Rated** – includes term loan B syndicated loans (sold to investors)
  - U.S. speculative-grade bank loan issuance has grown at a 29% CAGR from 2009 to 2016
  - FY 2016 speculative-grade bank loan issuance in the U.S. totaled ~$400 billion vs. ~$100 billion in Europe
- **Unrated** – includes term loan A (retained by the lender) and revolvers

1 Rated bank loan issuance represents Moody's rated corporate speculative-grade bank loans.
Source: Moody's Investors Service.

Disintermediation is a Key Driver of Moody's Global New Rating Mandates

Global New Rating Mandates[1]



» In 4Q 2016, Moody's new rating mandates increased to 177, up 9% from 162 in 4Q 2015

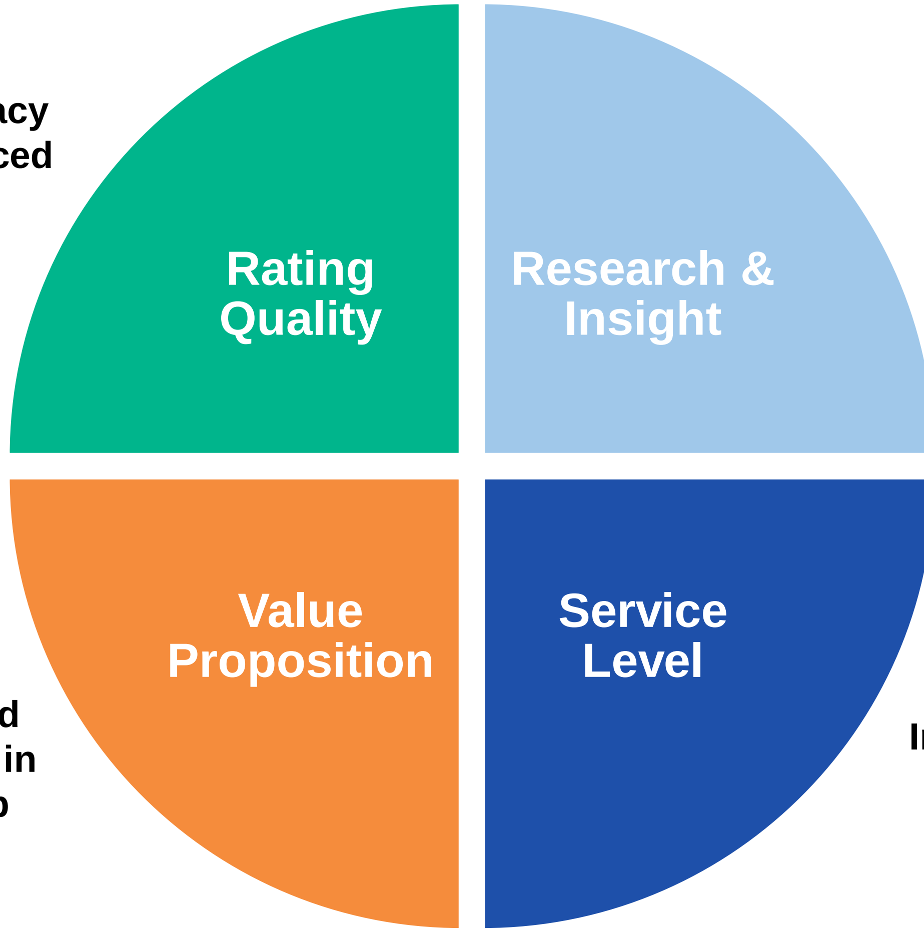
1 Rated by Moody's Investors Service.
Source: Moody's Investors Service.

3 Moody's Investors Service

Moody's Investors Service: A Leading Provider of Credit Ratings, Research and Risk Analysis

Proven rating accuracy and deeply experienced analysts

Focus on research leadership



Expanded sales and marketing activities in Commercial Group

Improving the issuer / investor experience

Illustrative Value of a Moody's Rating

Example: 10 year $500 million corporate bond

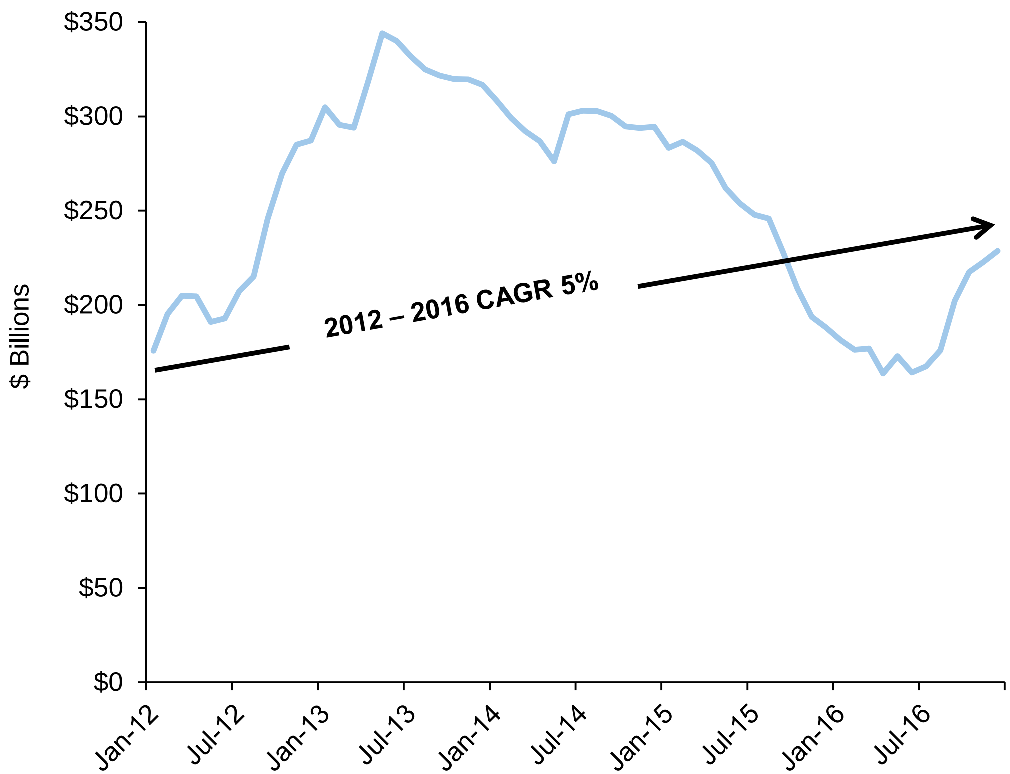
Unrated		Rated by Moody's
$500,000,000	**Bond**	$500,000,000
x 4.3%	**Interest rate**	x 4.0%
= $21,500,000	**Annual interest payments**	= $20,000,000
x 10 years	**Tenor**	x 10 years
= $215,000,000	**Lifetime interest expense**	= $200,000,000

$15 million in total interest expense
vs.
lifetime cost of a rating

Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Moody's Continues to Invest in Key International Markets

Emerging Markets Rated Corporate Bond Issuance[1]



» Emerging markets account for ~10% of MIS revenue

Americas

» **2015:** Acquired 100% of Equilibrium

EMEA

» **2013:** Opened MIS Warsaw office

» **2016:** Opened MIS Stockholm office

» **2016:** Collaboration with Euler Hermes Rating

APAC

» **2006:** Joint venture in China domestic market with CCXI

» **2013:** Opened MIS Mumbai and Shanghai offices

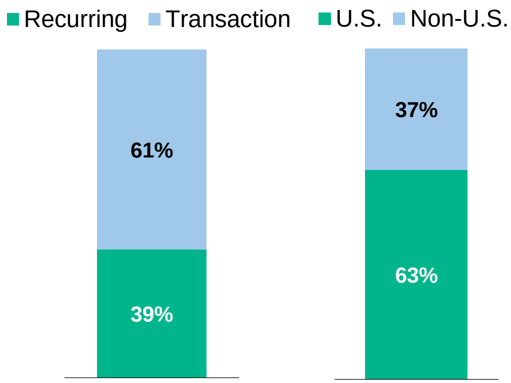
» **2015:** Acquired majority control of ICRA

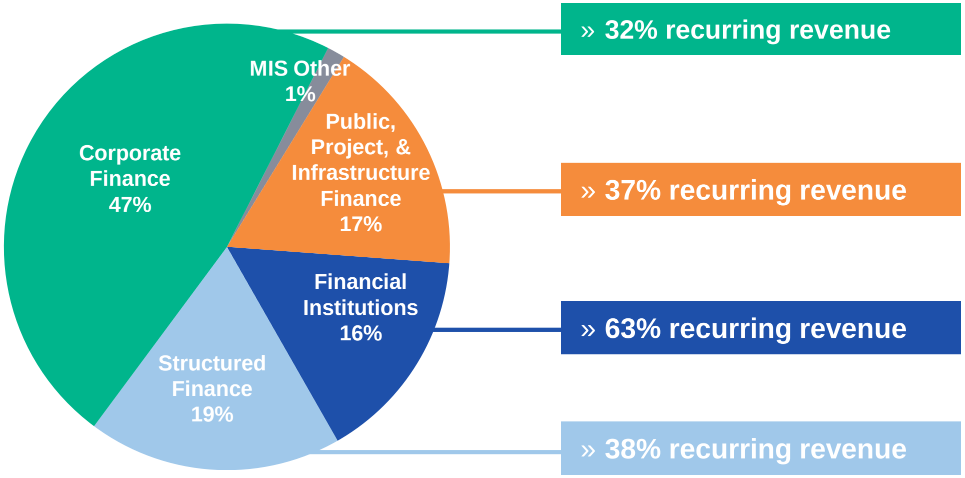
» **2016:** Increased stake in KIS to 100%

1 Moving 12 month sum; includes rated investment grade and high yield corporate bond issuance (financial and non-financial). Chart is through December 2016.
Sources: Dealogic, Moody's Capital Markets Research Group.

Moody's Investors Service Financial Profile

FY 2016 Revenue: $2.4 billion





2017 Revenue Guidance as of February 17, 2017

Global	↑	mid-single-digit % range
U.S.	↑	mid-single-digit % range
Non-U.S.	↑	mid-single-digit % range
Corporate Finance	↑	mid-single-digit % range
Structured Finance	↑	mid-single-digit % range
Financial Institutions	↑	mid-single-digit % range
Public, Project & Infrastructure Finance	↑	low-single-digit % range

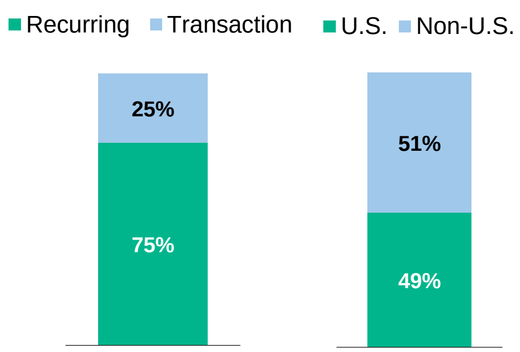
4 Moody's Analytics

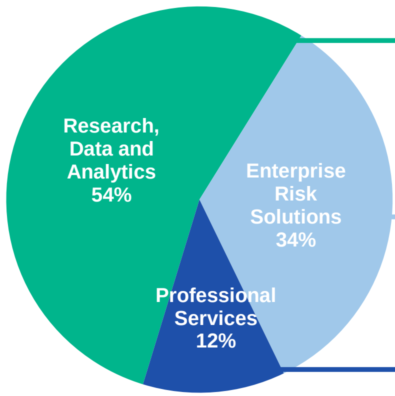
Moody's Analytics Provides Essential Insight Serving Global Financial Markets

Research Data & Analytics	Enterprise Risk Solutions	Professional Services
» MIS research & data » MIS ratings feeds » Quantitative credit metrics (EDFs) » Economic research, data & models » Structured finance analytics & data	» Software solutions and risk management services that assist with: - Financial spreading - Risk scoring - Default modeling - Exposure aggregation & management - Portfolio analytics - Stress testing - Risk-Weighted Assets (RWA) calculation and reporting	» Outsourced research & consulting » Financial training & education - In-house training, seminars & on-line learning - Professional certification

Moody's Analytics Financial Profile

FY 2016 Revenue: $1.2 billion





» > 95% recurring revenue
» 95% retention rate

» 65% recurring revenue

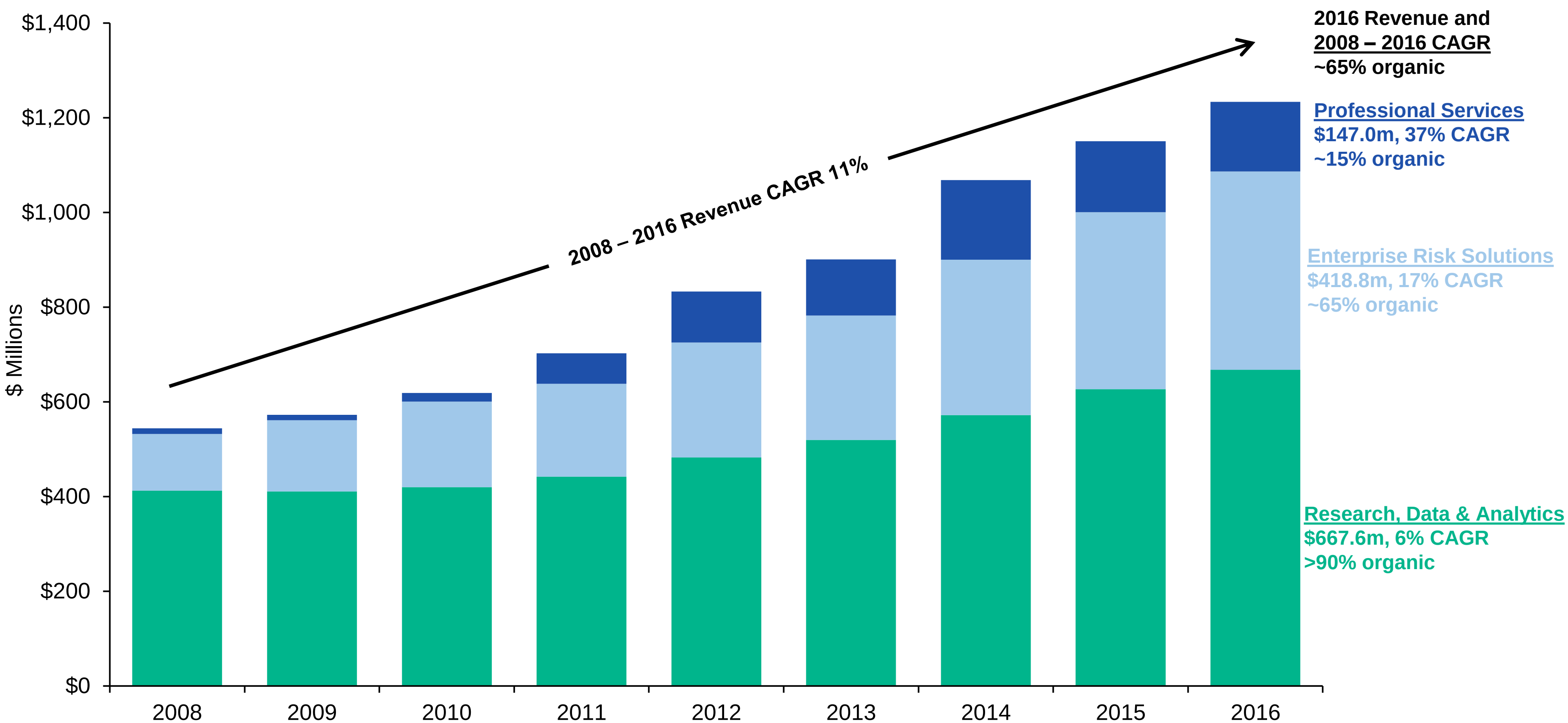
» Combination of one-off contracts and semi-recurring revenue

2017 Revenue Guidance as of February 17, 2017

Global	↑	mid-single-digit % range
U.S.	↑	low-single-digit % range
Non-U.S.	↑	high-single-digit % range
Research, Data & Analytics	↑	high-single-digit % range
Enterprise Risk Solutions	↑	mid-single-digit % range
Professional Services	↑	low-single-digit % range

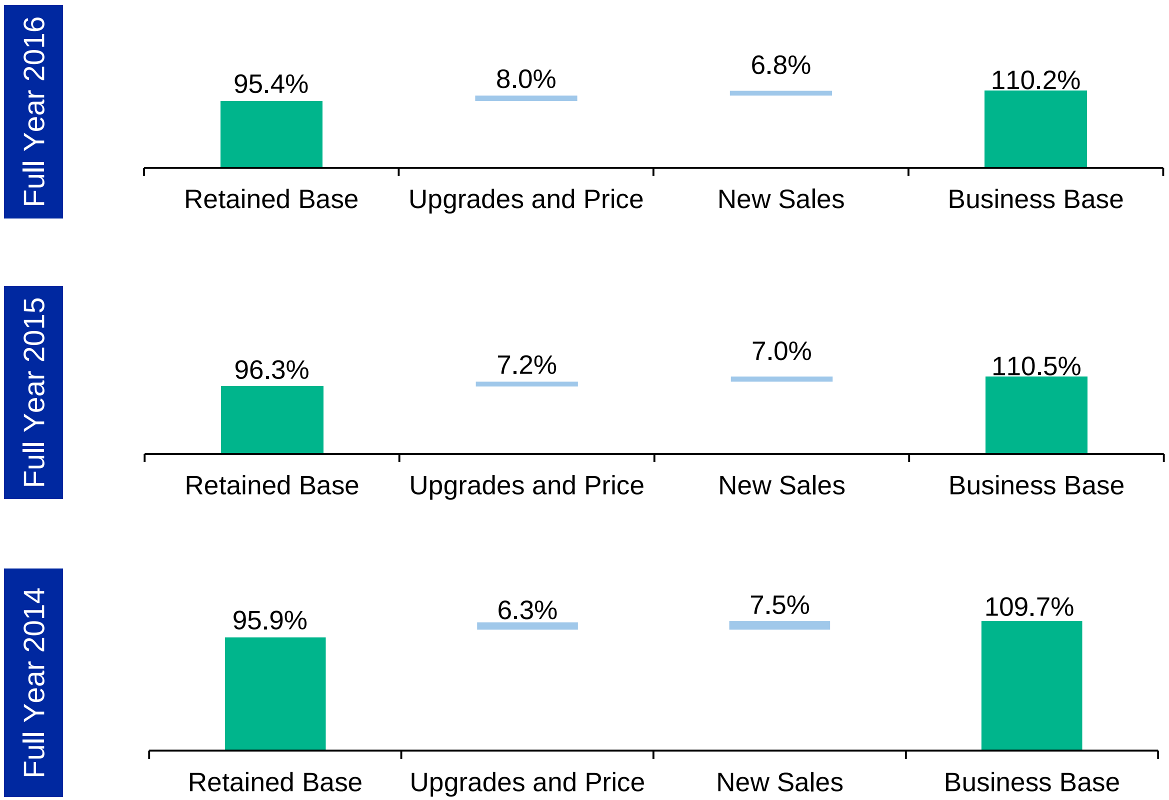
Moody's Analytics has Multiple Platforms for Growth

Added ~$700 Million in Revenue in 9 Years



RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales

Subscription Sales Growth
(constant currency)



Reported Total Revenue Growth

+6.6%

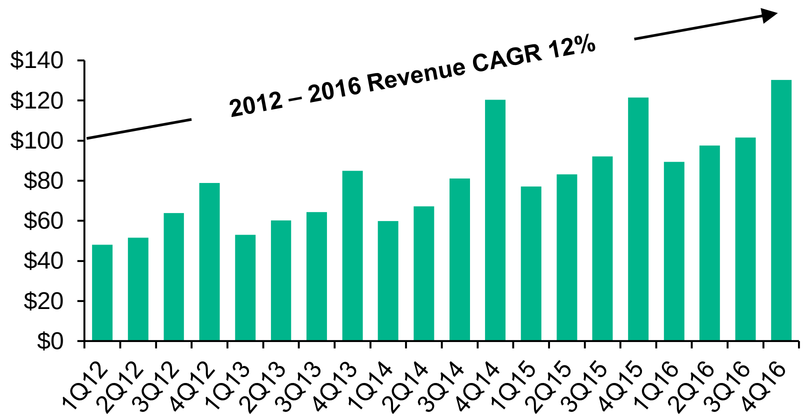
+9.5%

+10.0%

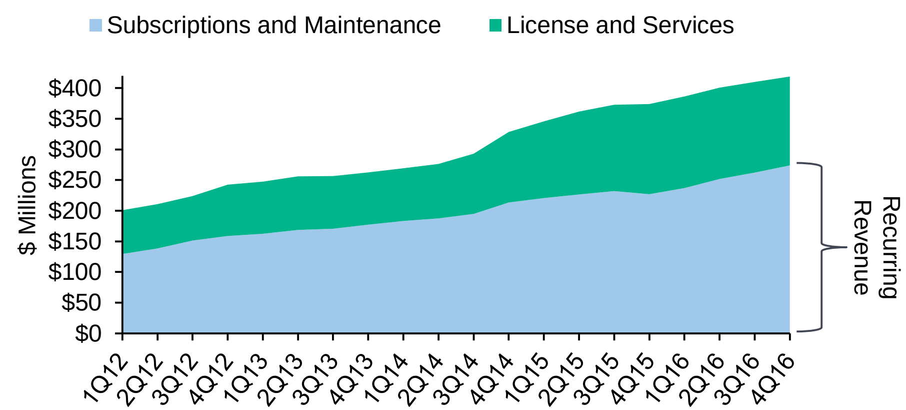
Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers. Reported total revenue growth reflects total RD&A revenue.

ERS' Renewable Book Growing, but Revenue Remains Dependent on Project Timing

ERS: Quarterly Revenue



ERS: TTM Revenue by Type



- » ERS revenue is driven by (1) regulation and accounting standards increasing in complexity; (2) evolution of risk management culture among customers; and (3) customers seeking return on investment and cost efficiencies
- » Reminder: While ~2/3 of ERS' revenue base is renewable, results are affected by large projects, the timing of which may impact sales, revenue and margin in any one period

Professional Services: Extending the Brand Into New Markets and Deepening Relationships With Customers

Financial services training

- Provider of global learning capabilities to banks, asset managers, regulators and non-bank financial institutions
- Expansion into new markets:
  - India: Signed MOU with the National Institute of Securities Markets (NISM) to jointly offer certification programs
  - Africa: MA is fast becoming a recognized standard for credit training in the region

Certificates, designations and accreditations

- Canada's leading provider of financial services education and designations
- 270+ courses taken by 800,000+ financial professionals
- Endorsed by the Investment Industry Regulatory Organization of Canada (IIROC), Canada's stock exchanges and Canada's securities regulatory commissions

Canadian Securities Institute
Moody's Analytics Training & Certification Services

Knowledge process outsourcing

- Leading provider of research, analytics and business intelligence services to global financial institutions
- Bespoke front-office support with client-dedicated analyst teams for 150+ clients
- More than 2,600 employees in offices in India, China, Sri Lanka and Costa Rica
- 15 years of experience helping clients enhance profitability, increase operational flexibility and drive revenues

Moody's Analytics | Knowledge Services

5 Conclusion

Why Invest in Moody's?

- **We strive to be the world's most respected authority serving risk-sensitive financial markets**
- **We have had strong revenue and earnings growth, as well as cash flow conversion**
  - 2012 – 2016 revenue CAGR of 7%
  - 2012 – 2016 adjusted EPS[1] CAGR of 13%
  - 2012 – 2016 free cash flow conversion rate of ~30%
- **We are committed to returning capital to our shareholders**
  - 2012 – 2016 returned $5.3 billion, or 110% of free cash flow, to shareholders via share repurchases and dividends
- **We will selectively invest in strategic growth opportunities**
  - Leverage brand to extend our relevance in financial markets
  - Expand our product offerings and geographic influence

1 See appendix for reconciliation of adjusted EPS to GAAP EPS.

Moody's Awards

Moody's is the proud recipient of over 20 awards from publications around the world. Spanning both Moody's Investors Service and Moody's Analytics, this recognition helps expand Moody's position as a leader in the global capital markets and reflects the hard work and contributions of all our employees.

Moody's Investors Service

Best Rating Agency: 2017

#1 US Credit Rating Agency: 2012–2016

Multiple-Award Winner, Including Best Rating Agency for Investment Grade Corporate Bonds: 2016

Most Influential Credit Rating Agency: 2013–2016

#1 Asia Credit Rating Agency: 2012–2016

Best CLO Rating Agency: 2016

Australia's Rating Agency of the Year: 2014–2016

Market Leadership Award: 2016
Best IF Rating Agency: 2015

Best Ratings Agency, Islamic Finance: 2016

#1 US Rating Agency: 2015–2016
#1 Municipal Research Team in Smith's All-Star Voting: 2014

Best Islamic Rating Agency: 2015

Project Finance Firm of the Year (USA): 2015

Moody's Analytics

#1 Enterprise-Wide Stress Testing
#1 Risk Capital Calculation

Best Solvency II solution and Best ESG solution

Best Enterprise Learning Platform Implementation

Ranked #5 out of 100
Enterprise Stress Testing Category Winner
Credit Risk Category Winner

Recognized as a Top Solution Provider

#1 Economic Capital Calculation and Management, #1 Regulatory Capital Calculation and Management, and #1 Asset and Liability Management

Governance, Risk, Compliance & Security Category Winner

Recognized as a Top Solution Provider

Best Credit Risk Solution Provider – RiskCalc™

#1 Risk Management Regulatory/Economic Capital Calculation

Liquidity Risk Technology Implementation of the Year

Crystal Ball Award

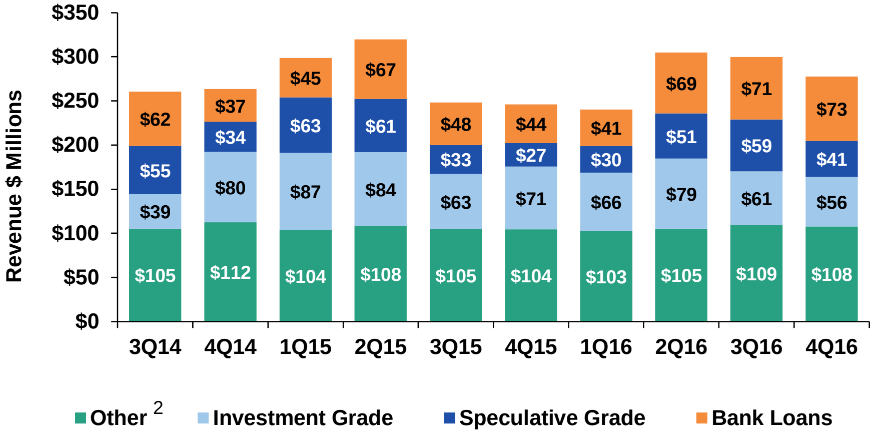
Ranked Top-5 in 5 out of 11 performance categories: 2011, 2012, 2014, 2015 Expectations (1-, 2-, 3-, 4-Year Horizons)

Front-Line Customer Service Team of the Year – Financial Services Industries

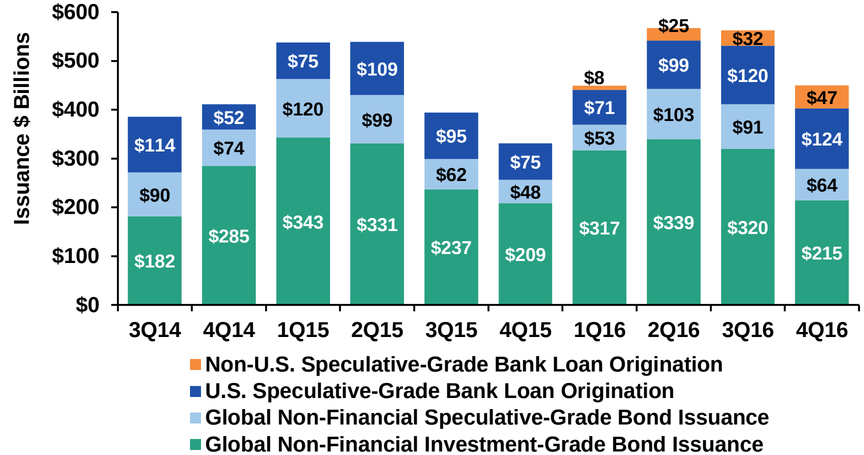
6 Appendix

Corporate Finance: Revenue and Issuance

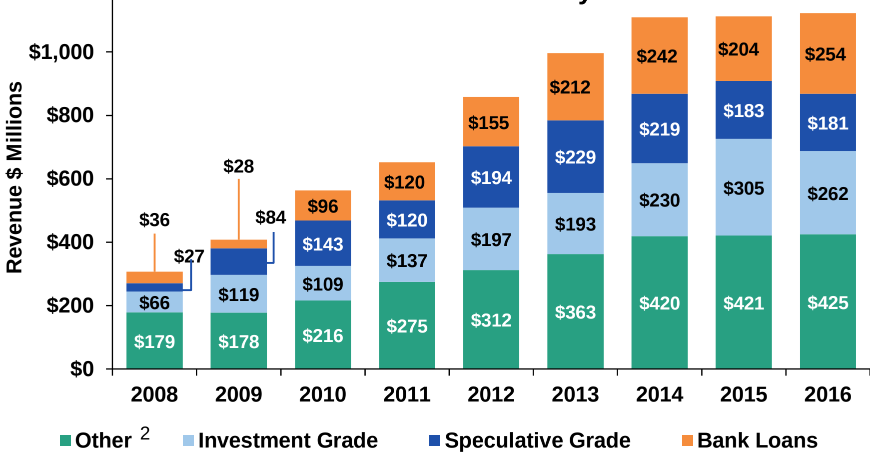
Historical Revenue[1] Mix: By Quarter



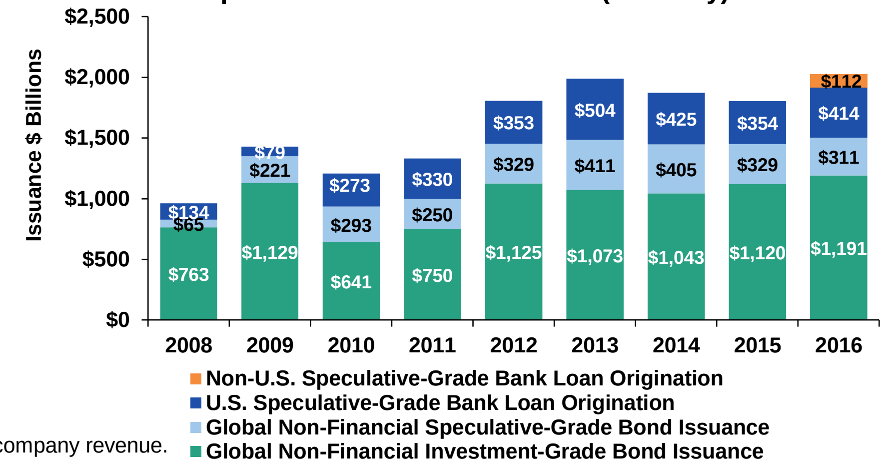
Global Rated Non-Financial Bonds and Speculative Grade Bank Loans (Quarterly)[3]



Historical Revenue[1] Mix: By Year

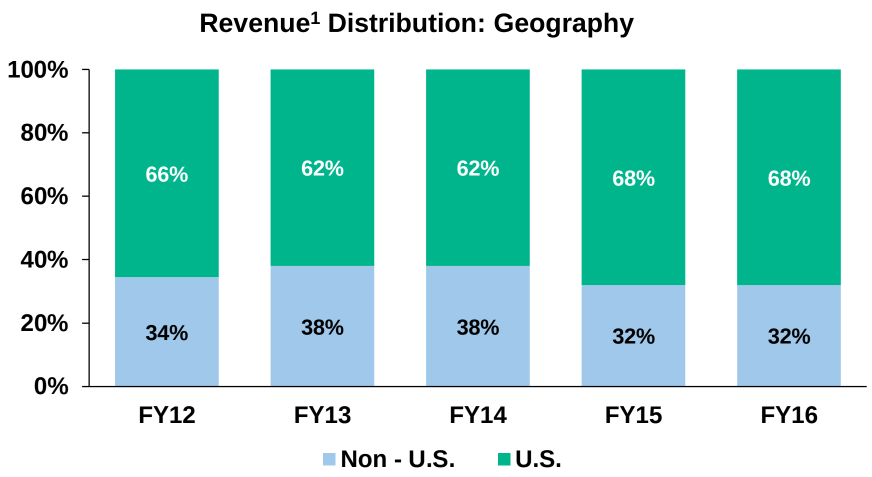


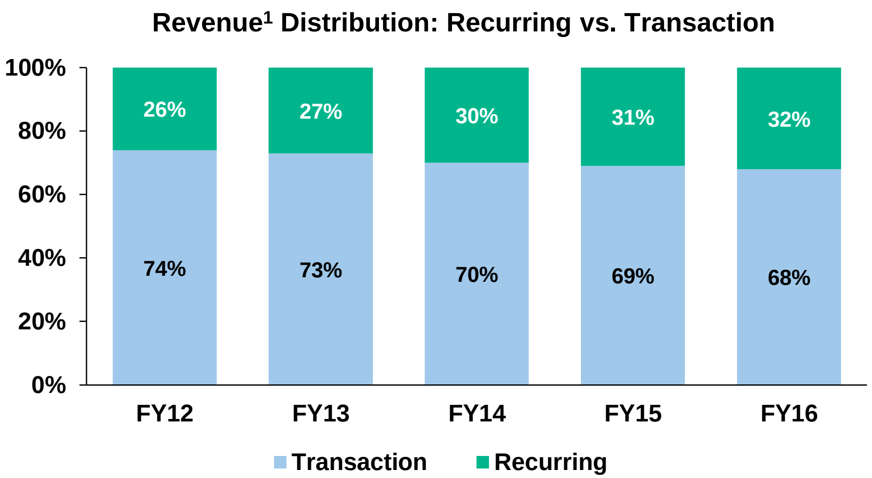
Global Rated Non-Financial Bonds and Speculative Grade Bank Loans (Annually)[3]

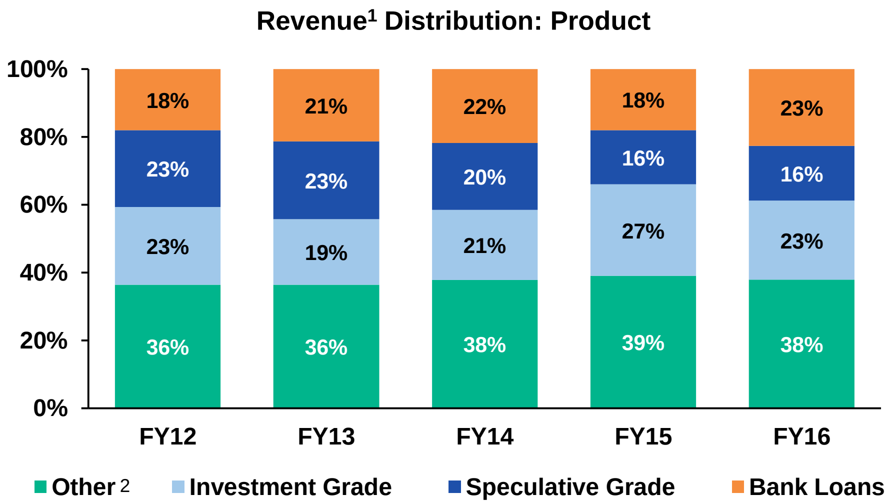


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.
3 Sources: Moody's Capital Markets Research Group, Dealogic; U.S. and Non-U.S. Speculative-Grade Bank Loan Origination represent Moody's rated new bank loan programs. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification



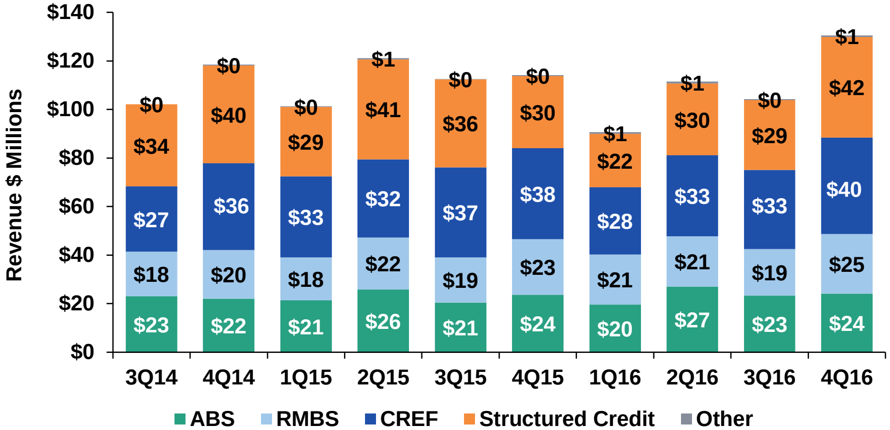




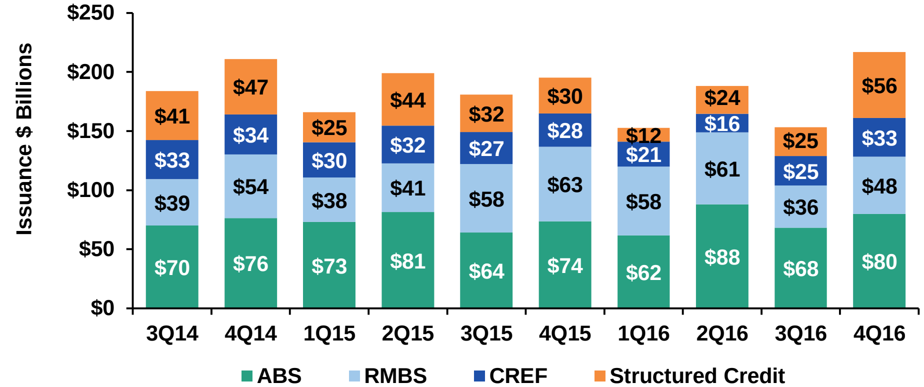
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

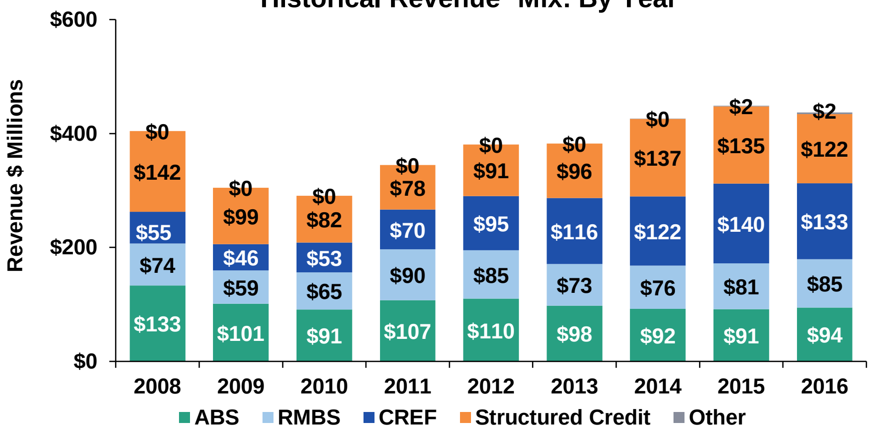
Historical Revenue[1] Mix: By Quarter



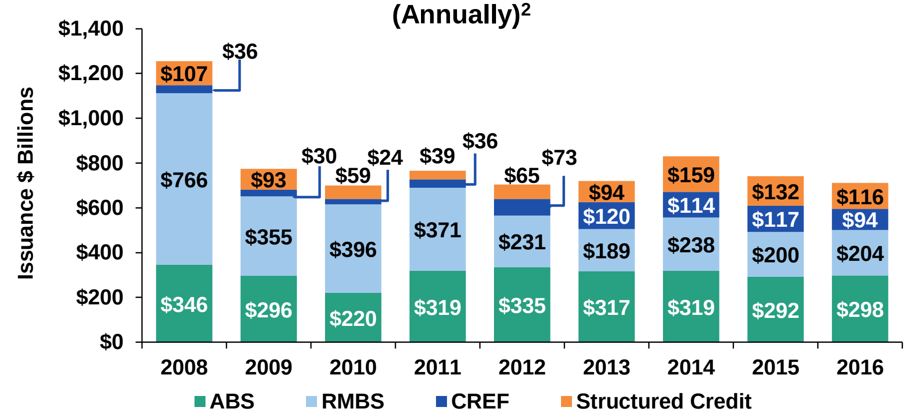
Global Rated Structured Finance (Quarterly)[2]



Historical Revenue[1] Mix: By Year

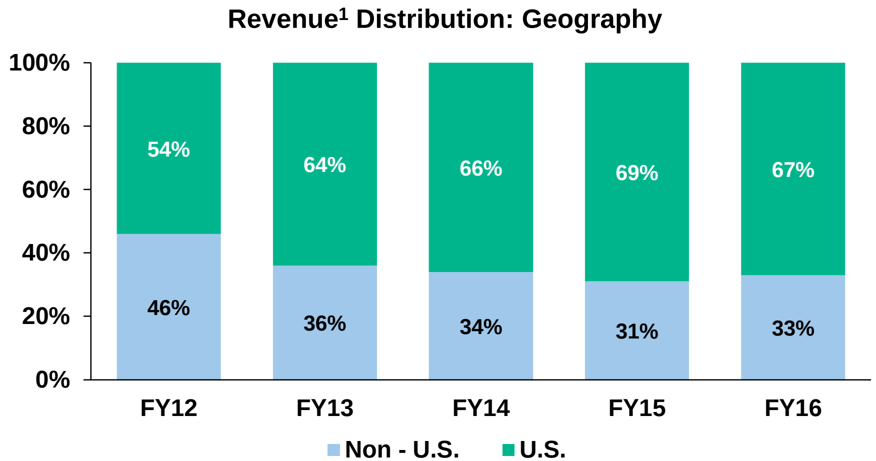


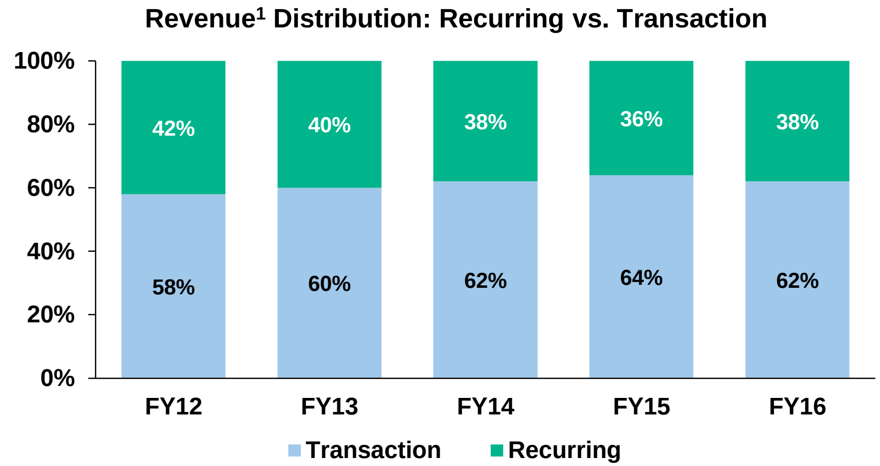
Global Rated Structured Finance (Annually)[2]

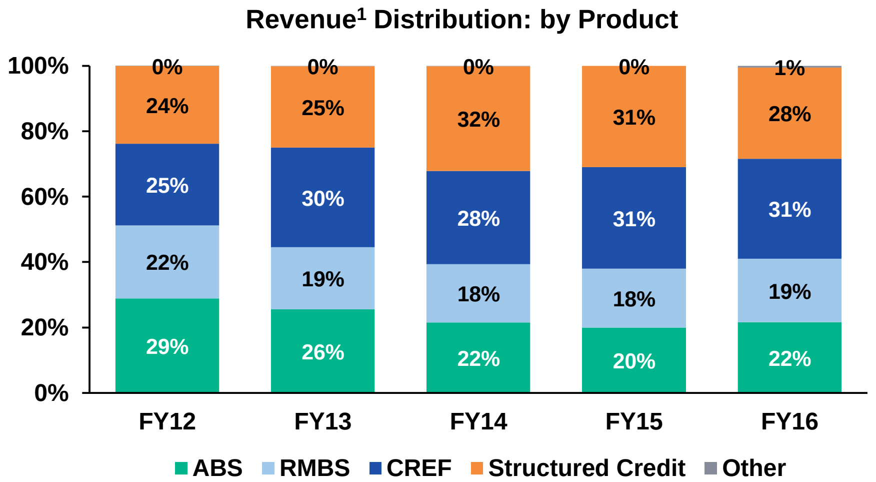


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
2 Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification







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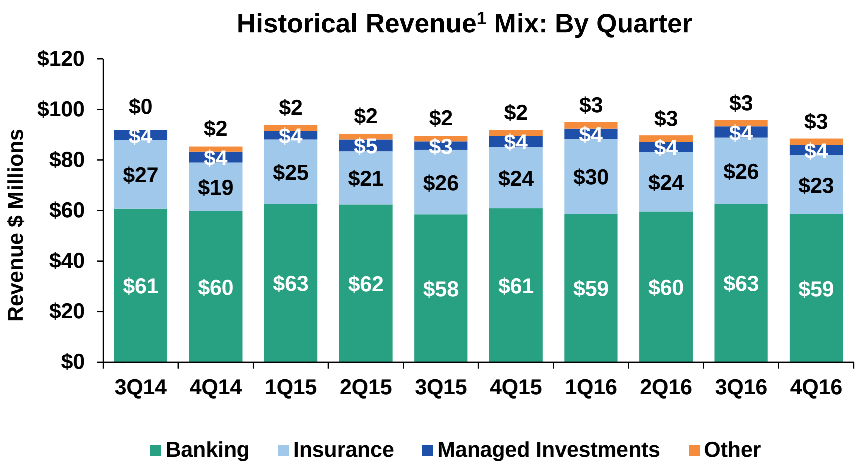
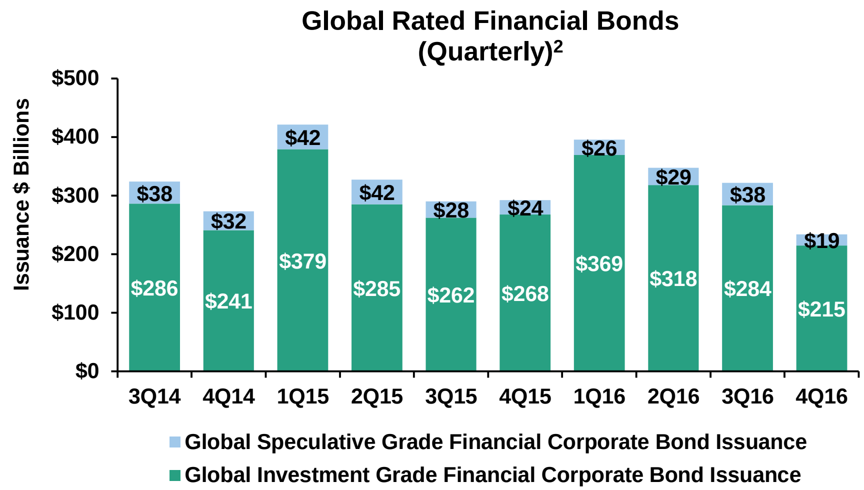
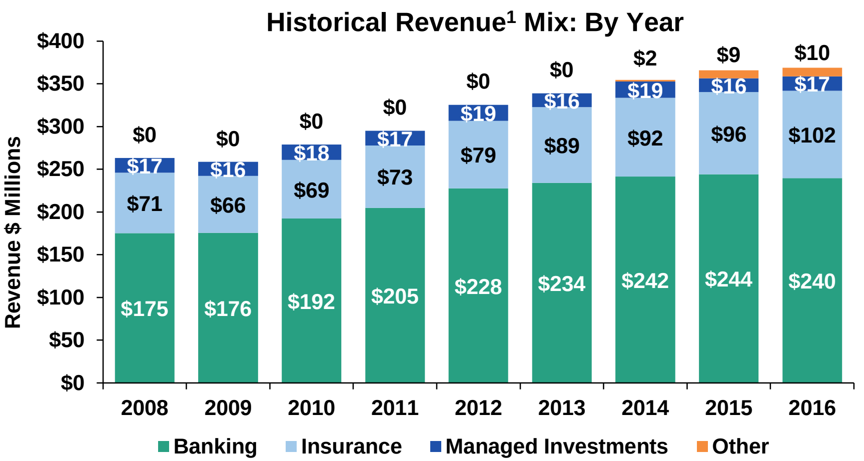
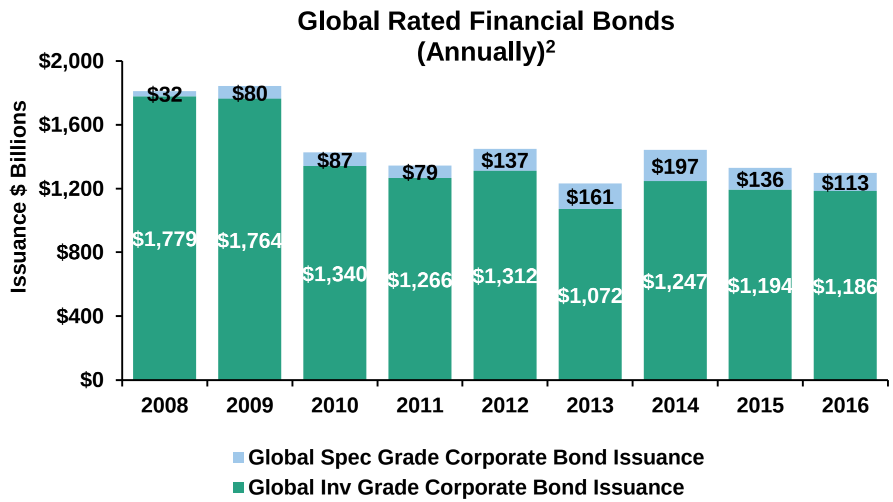
Financial Institutions: Revenue and Issuance





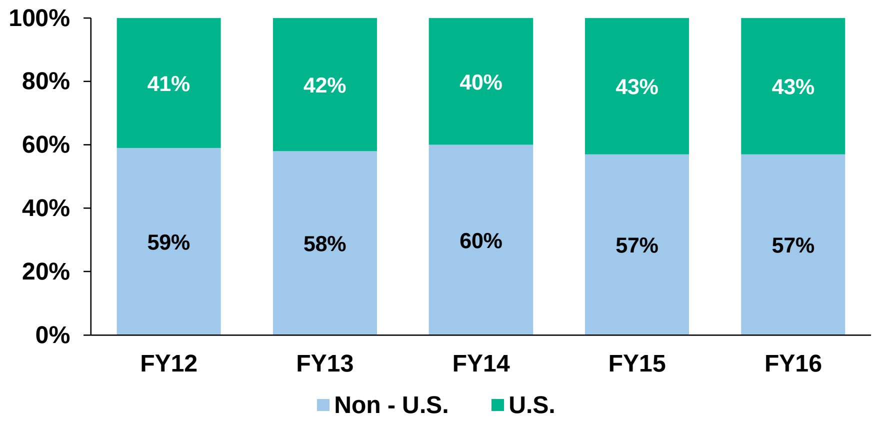




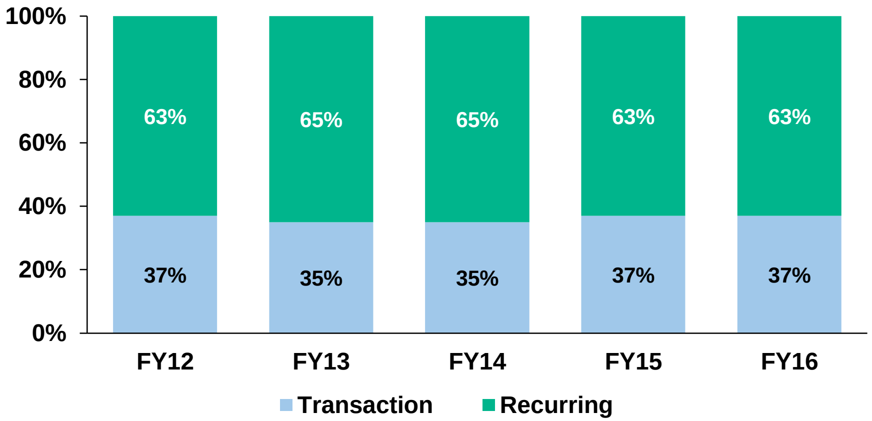
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
2 Sources: Moody's Capital Markets Research Group, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

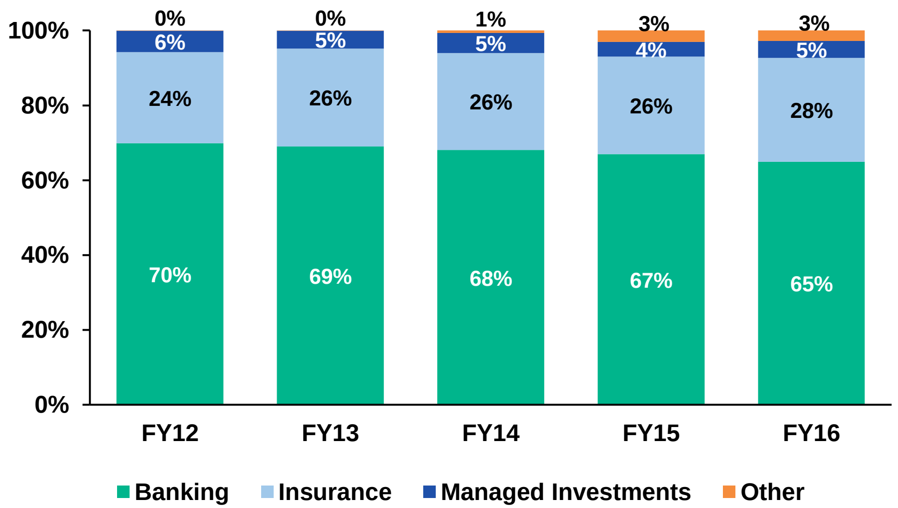
Revenue[1] Distribution: Geography



Revenue[1] Distribution: Recurring vs. Transaction

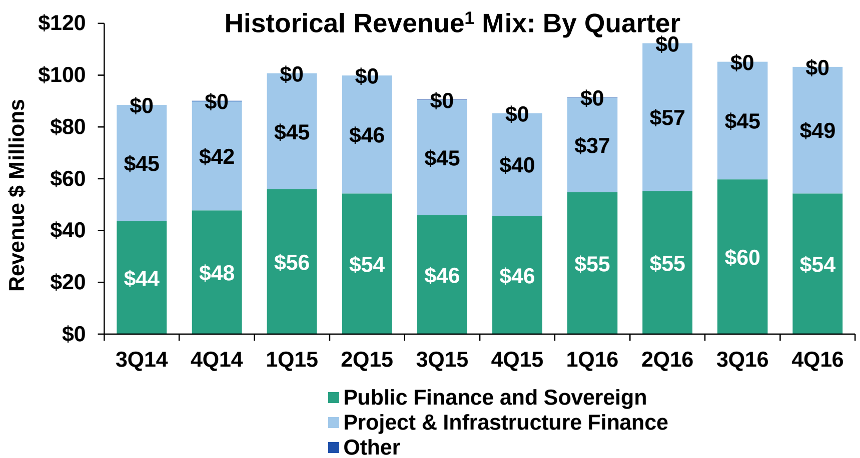


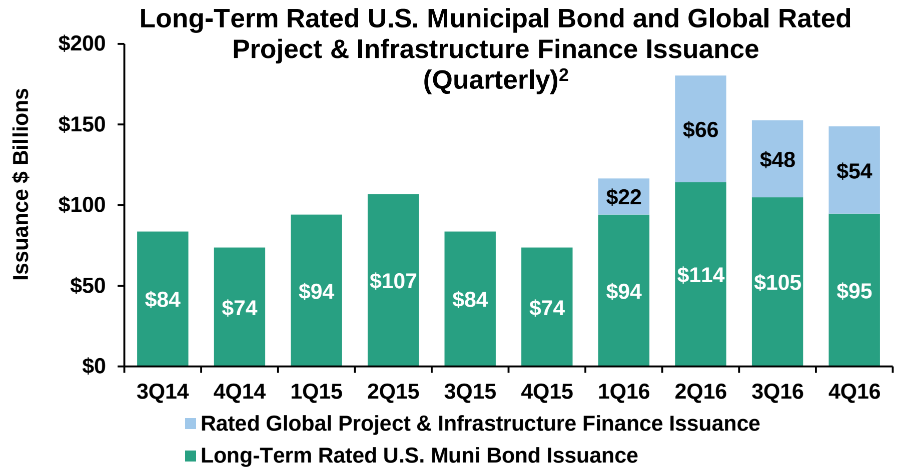
Revenue[1] Distribution: Product

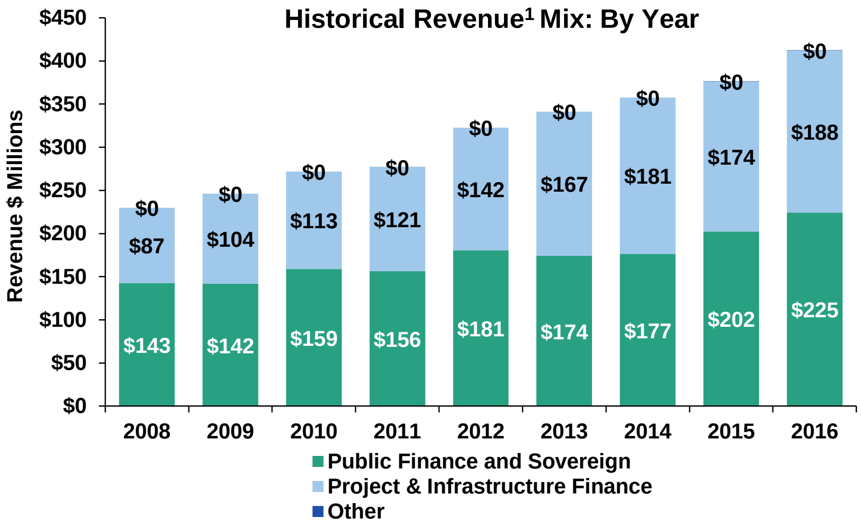


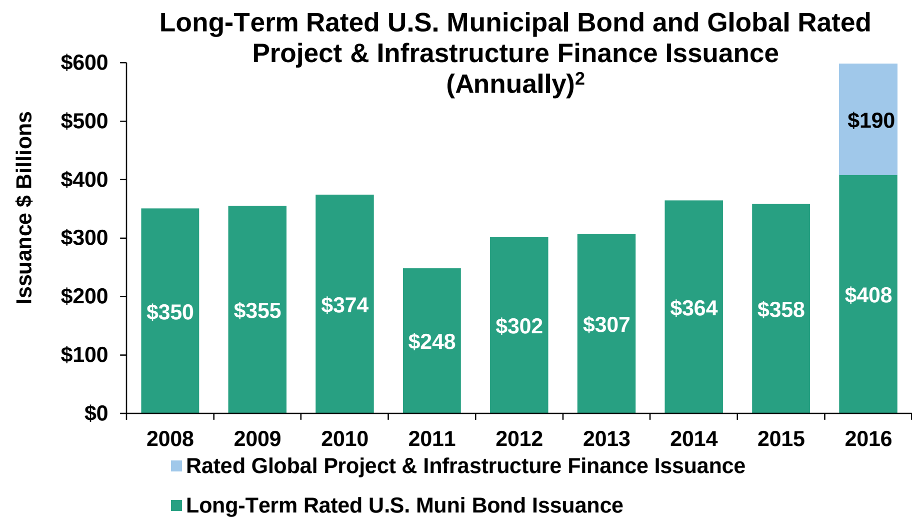
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance



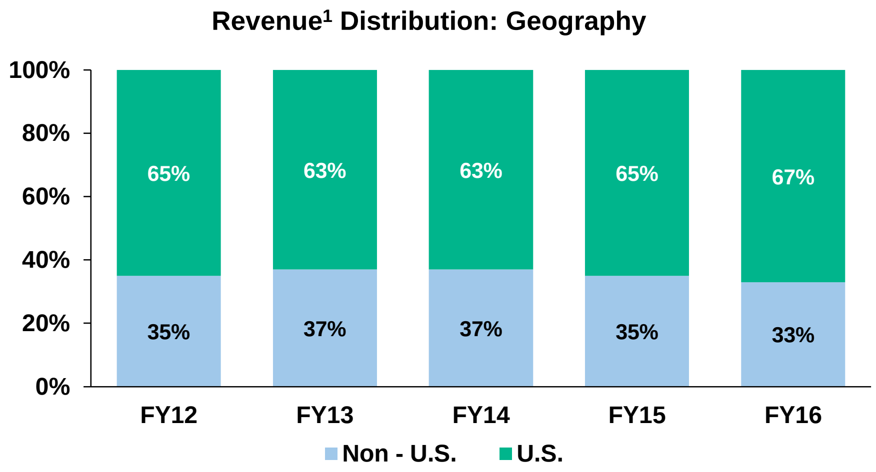


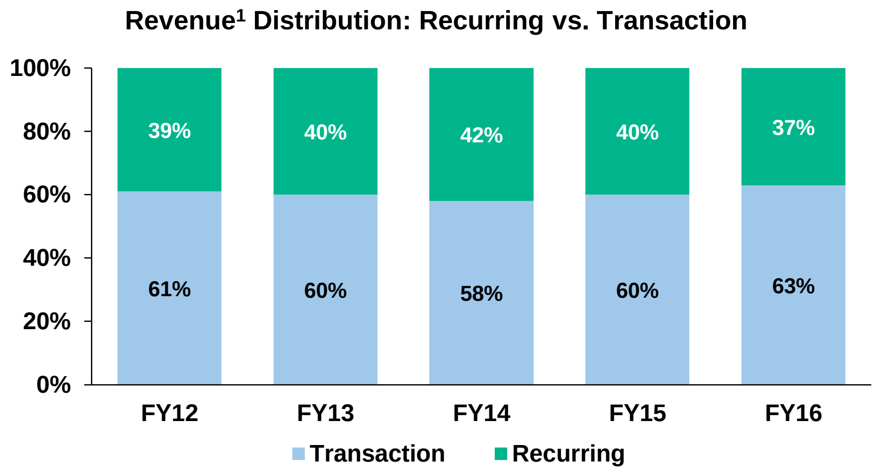


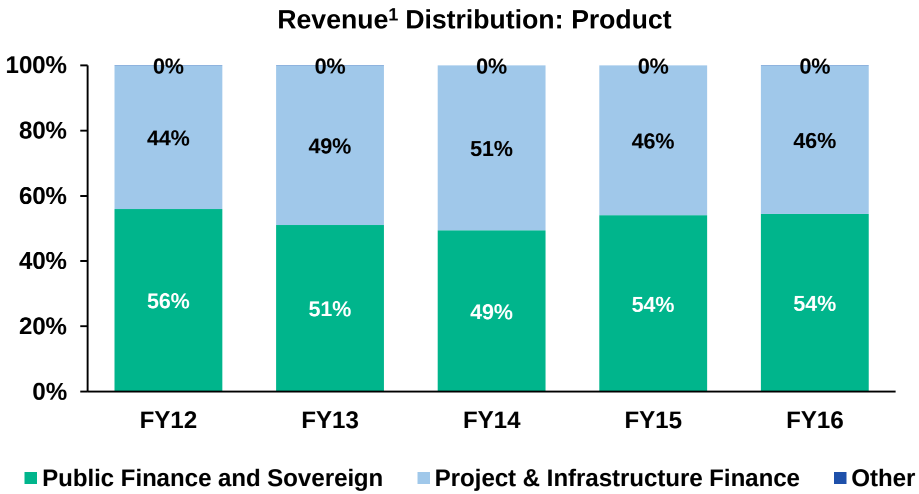


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
2 Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

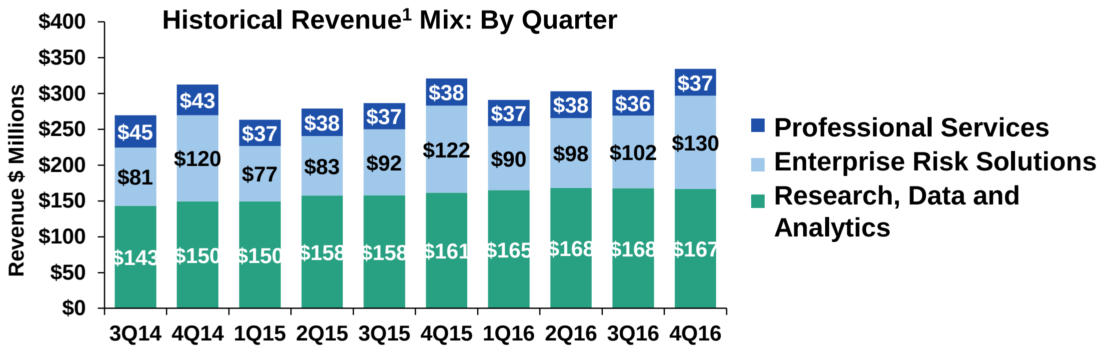


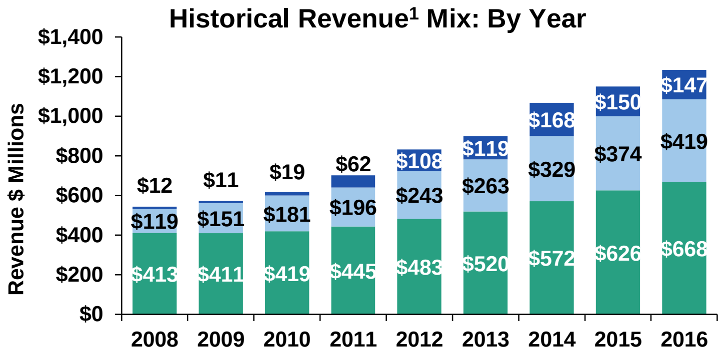


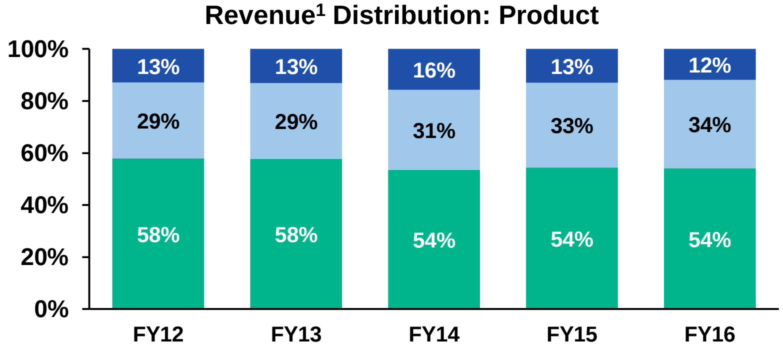


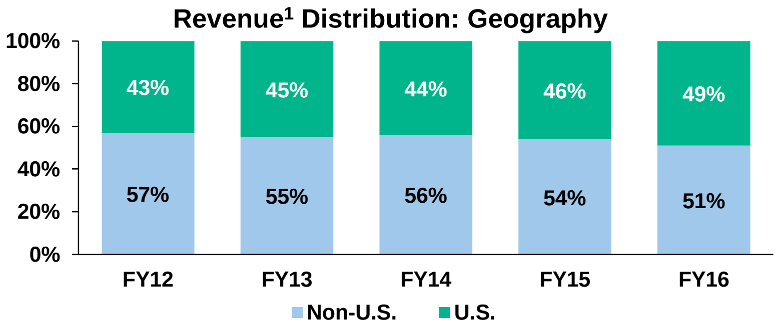
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.
Percentages have been rounded and may not total to 100%.

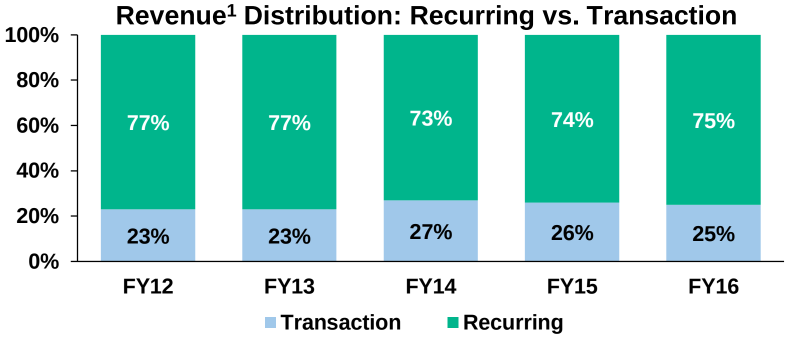
Moody's Analytics: Financial Overview







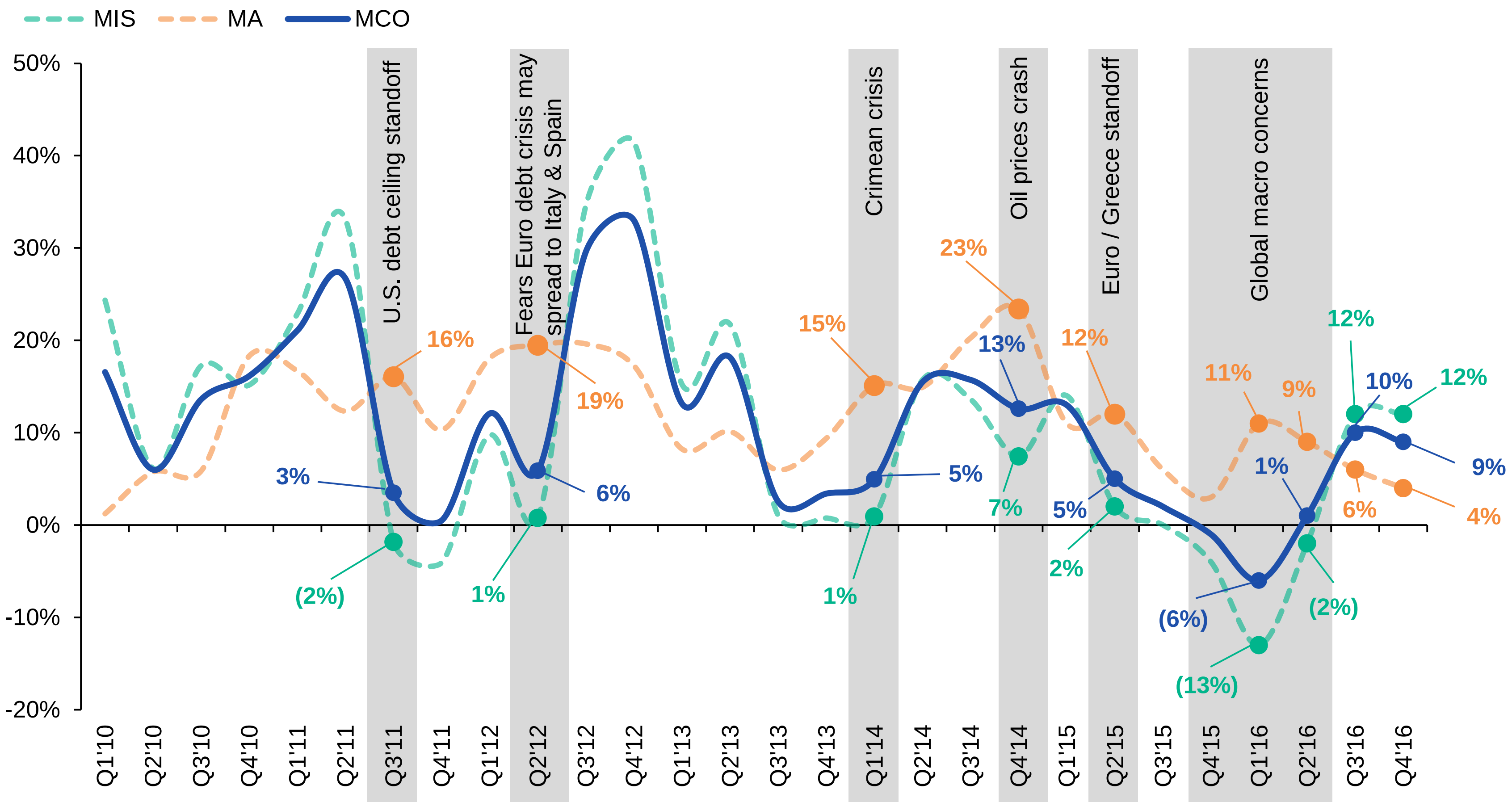




1 Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

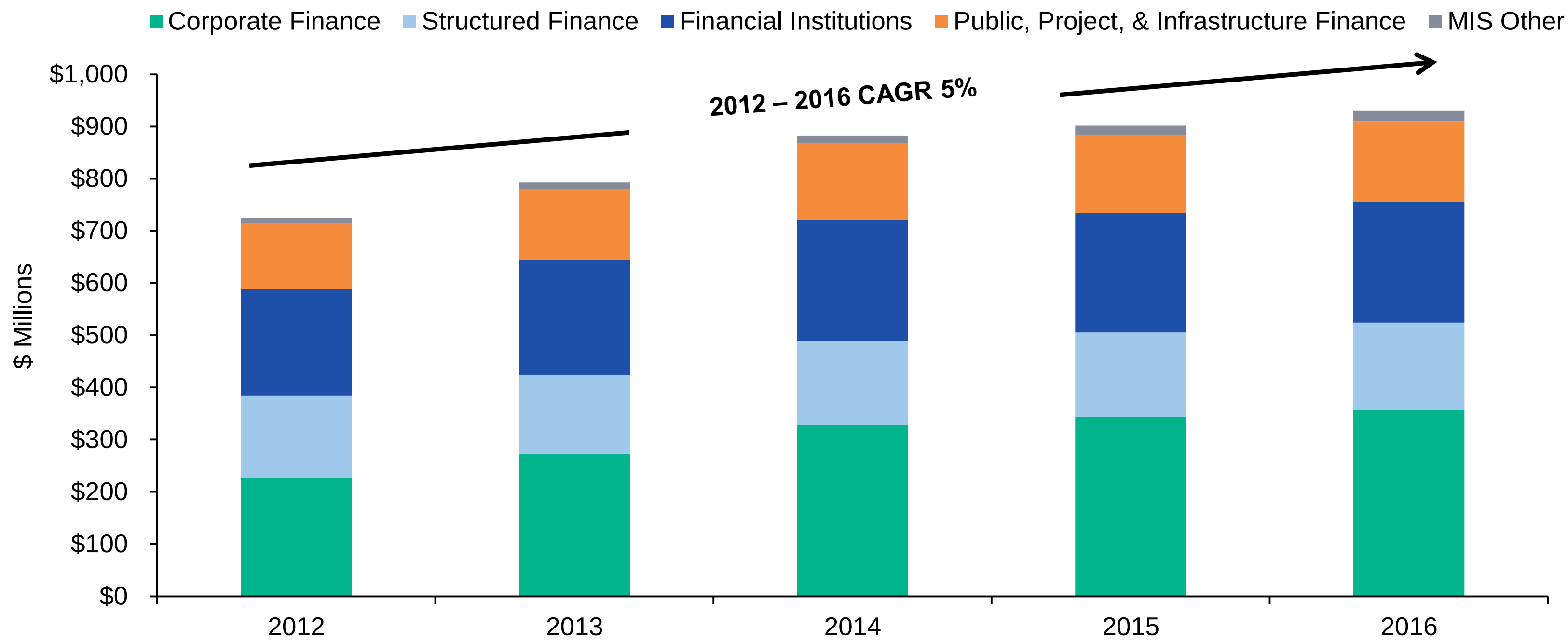
Revenue Growth by Quarter: MCO, MIS and MA

Year-over-Year % Change



Moody's Investors Service's Recurring Revenue[1] Provides Stability

MIS Recurring Revenue



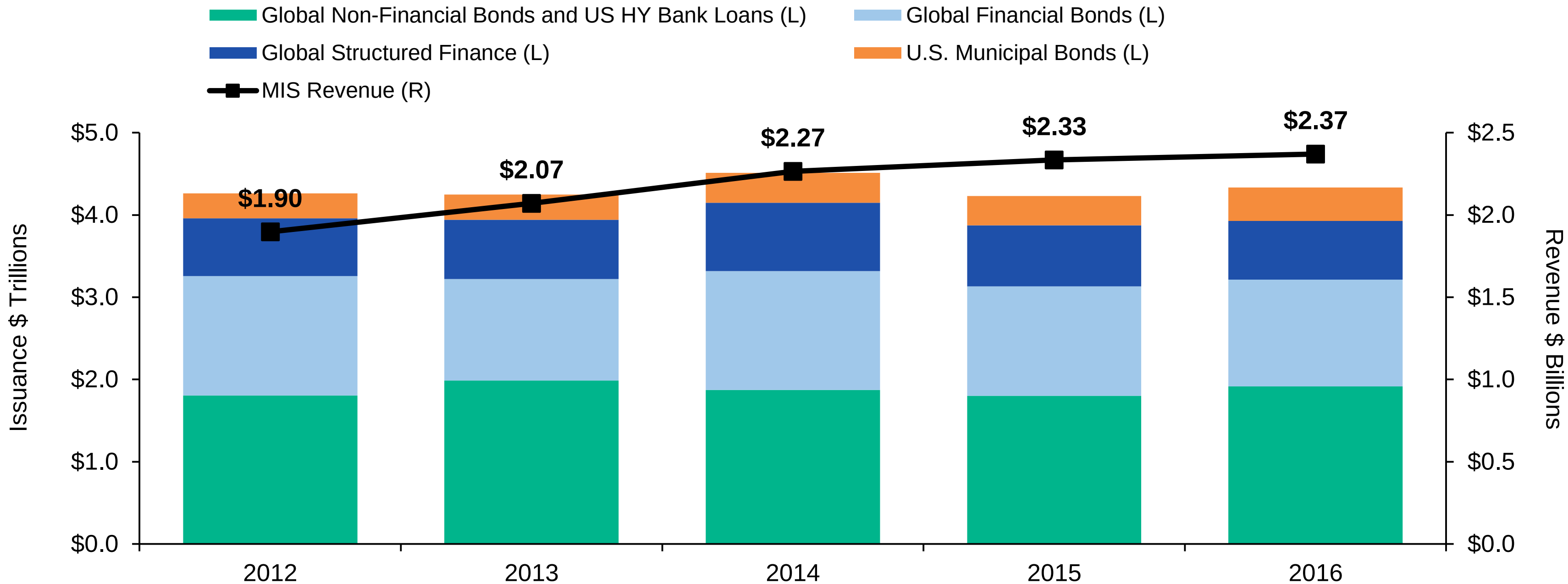
As a % of MIS revenue	38%	38%	39%	39%	39%

- Drivers of MIS recurring revenue include growth in monitoring fees and select elements of pricing
- Recurring revenue averages ~40% of total MIS revenue

1 MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.

MIS Revenue vs. Rated Issuance[1]

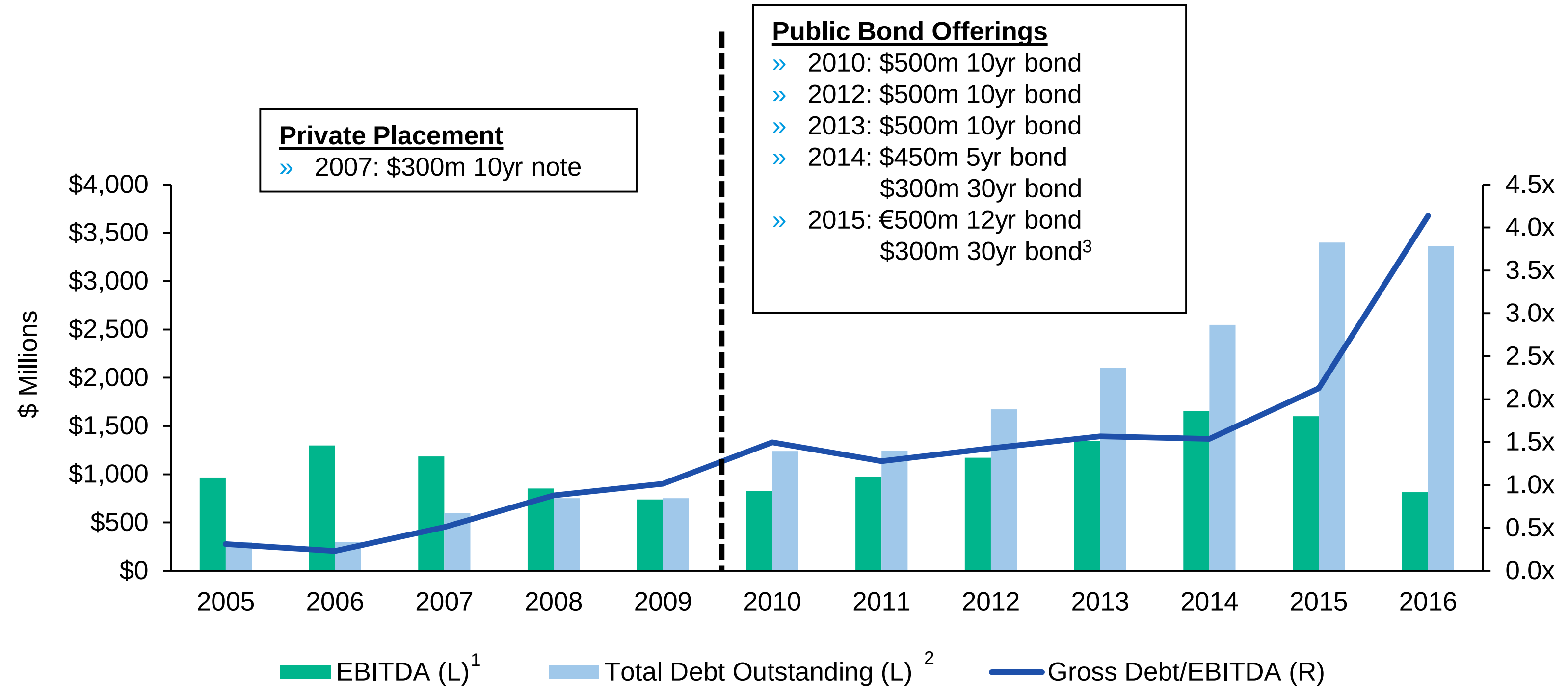
Year-over-Year Percent Change	2012	2013	2014	2015	2016	2012-2016 CAGR
Issuance	16%	0%	6%	-6%	2%	3%
Revenue	20%	9%	9%	3%	2%	6%



» In addition to issuance activity levels, MIS revenue is impacted by (i) the mix of issuance activity, (ii) pricing and (iii) growth in monitored credits

1 Rated global investment grade bonds, global high yield bonds, U.S. high yield bank loans, global structured finance, and U.S. municipal issuance.
Source: Moody's Capital Markets Research Group, Dealogic, AB Alert, CM Alert, Thomson SDC. U.S. High Yield Bank Loans represent Moody's rated new U.S. bank loan programs.

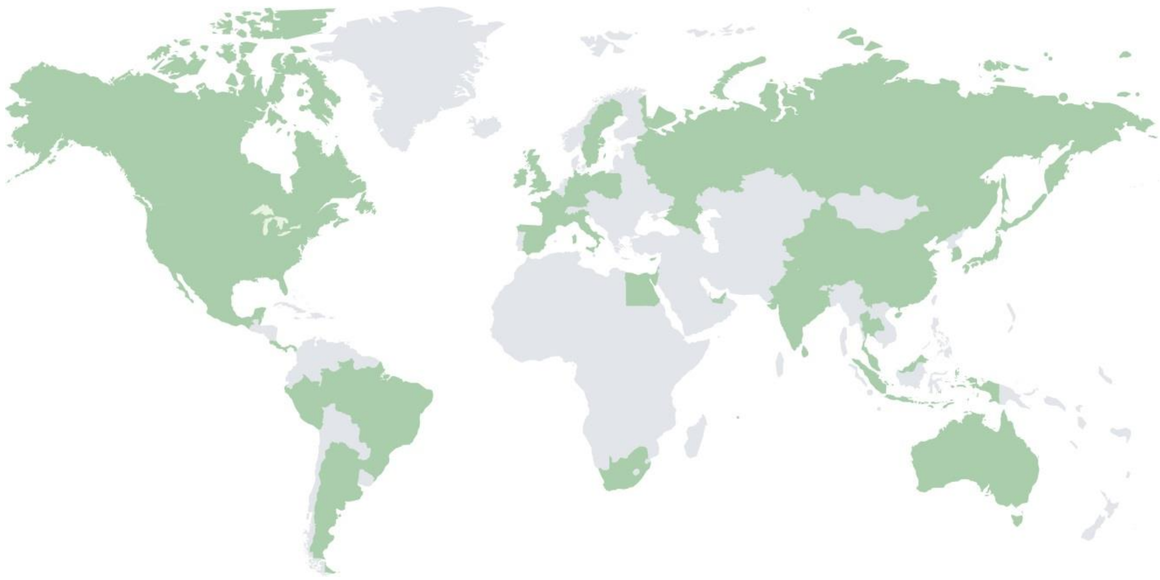
Moody's is a Seasoned Capital Markets Issuer



- Successfully issued across the maturity curve and in multiple currencies
- Initial maturities ranging from 5-year to 30-year
- Debt denominated in USD and EUR
- Moody's entered the commercial paper market on January 17, 2017

1 Amount is a Non-GAAP measure. See Appendix for a reconciliation of this adjusted financial measure to its comparable GAAP measure.
2 Debt outstanding at end of period. The 2016 amount includes $300 million of debt classified as a current liability as it matures September 2017.
3 On November 13, 2015, Moody's issued $300 million of 5.25% senior unsecured notes due 2044 in a reopening of its existing series of such notes.

Moody's Global Presence



2016	3,387 U.S. employees	+	7,230 non-U.S. employees	=	10,617 total employees[1]
2015	3,364 U.S. employees	+	7,006 non-U.S. employees	=	10,370 total employees[2]

Americas

Argentina
Brazil
Canada
Costa Rica
Mexico
Panama
Peru
United States

Europe, Middle East & Africa

Cyprus
Czech Republic
Egypt
France
Germany
Ireland
Israel
Italy
Mauritius
Poland
Russia
South Africa
Spain
Sweden
Switzerland
UAE
United Kingdom

Asia-Pacific

Australia
China
Hong Kong
India
Japan
Korea
Malaysia
Nepal
Singapore
Sri Lanka
Thailand

Affiliates (Moody's Ownership)

China – CCXI (49%)
Egypt – MERIS (40%)
India – ICRA (50.06%)
Israel – Midroog (51%)

1 As of December 31, 2016.
2 As of December 31, 2015.

Reconciliation of Adjusted Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation

(in $ millions)	2012	2013	2014	2015	2016
As Reported Operating Income	$1,077.4	$1,234.6	$1,439.1	$1,473.4	$638.7
Operating Margin	*39.5%*	*41.5%*	*43.2%*	*42.3%*	*17.7%*
Add Adjustment:					
Depreciation & Amortization	*93.5*	*93.4*	*95.6*	*113.5*	*126.7*
Restructuring	*-*	*-*	*-*	*-*	*12.0*
Goodwill Impairment Charge	*12.2*	*-*	*-*	*-*	*-*
Settlement Charge	*-*	*-*	*-*	*-*	*863.8*
Adjusted Operating Income	$1,183.1	$1,328.0	$1,534.7	$1,586.9	$1,641.2
Adjusted Operating Margin	*43.3%*	*44.7%*	*46.0%*	*45.5%*	*45.5%*

Moody's Corporation Operating Margin Guidance Reconciliation

	2017F[1]
Projected Operating Margin - GAAP	Approximately 43%
Projected impact from Depreciation & Amortization	Approximately 3%
Projected Adjusted Operating Margin	Approximately 46%

Moody's Corporation Free Cash Flow Guidance Reconciliation

(in $ millions)	2017F[1]
Cash Flow from Operations	Approximately $600 million
Less Capital Expenditures	*Approximately $100 million*
Free Cash Flow	Approximately $500 million

1 Guidance as of February 17, 2017.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Adjusted Operating Expense Reconciliation

	2017F[1]
Operating Expense Guidance	Decreased in the 25% to 30% range
	Impact of 2016 settlement and restructuring charge
Adjusted Operating Expense Guidance	Increase in the low-single-digit percent range

Moody's Corporation EPS Reconciliation

	2012	2013	2014	2015	2016	2017F[1]
Diluted EPS - GAAP	$3.05	$3.60	$4.61	$4.63	$1.36	$5.15 - $5.30
Legacy Tax	(0.06)	(0.09)	(0.03)	(0.03)	-	-
Impact of litigation settlement	-	0.14	-	-	$3.59	-
ICRA Gain	-	-	(0.37)	-	-	-
FX Gain due to Subsidiary Liquidation					($0.18)	-
Restructuring					$0.04	-
Adjusted Diluted EPS	$2.99	$3.65	$4.21	$4.60	$4.81	$5.15 - $5.30

1 Guidance as of February 17, 2017.
Note: Table may not sum to total due to rounding.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation EBITDA Reconciliation

($ Millions)	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016
Net Income attributable to Moody's	$753.9	$701.5	$457.6	$402.0	$507.8	$571.4	$690.0	$804.5	$988.7	$941.3	$266.6
Provision for Income Taxes	$506.6	$415.0	$268.2	$239.1	$201.0	$261.8	$324.3	$353.4	$455.0	$430.0	$282.2
Interest Expense, Net	($3.0)	$24.3	$52.2	$33.4	$52.5	$62.1	$63.8	$91.8	$116.8	$115.1	$137.8
Depreciation & Amortization	$39.5	$42.9	$75.1	$64.1	$66.3	$79.2	$93.5	$93.4	$95.6	$113.5	$126.7
EBITDA	$1,297.0	$1,183.7	$853.1	$738.6	$827.6	$974.5	$1,171.6	$1,343.1	$1,656.1	$1,599.9	$813.3

Note: Table may not sum to total due to rounding.

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